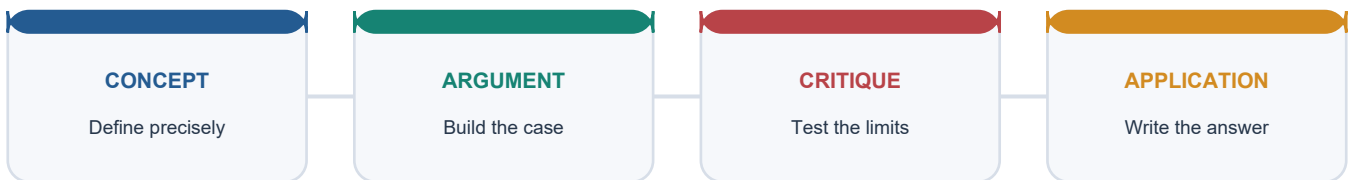


COMPLETE LEARNING SESSION

Economy Topic 8: Securities, Bonds, Equity, Derivatives and Investment Funds

Complete Learning Session

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Securities, Bonds, Equity, Derivatives and Investment Funds - Complete Learning Session

Subject: Economy | **UPSC:** Prelims and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE, STATUS AND DATE CONTROL

Source layer	Material checked	Control
Canonical Economy Markdown	Topic 8 Basic, Complete and Optional Advanced owners	Full syllabus, terminology, PYQ routes and Topic 7 boundary
OCR-searchable local sources	Ramesh Singh economy reference, Economic Survey 2025-26 and official-paper OCR	Indian context, concept reconciliation and exact 2025 questions
SEBI securities sources	Mutual Funds Regulations dated 16 January 2026/effective 1 April 2026; Mutual Funds Master Circular dated 20 March 2026; REIT/InvIT Master Circulars dated 11 July 2025; AIF Master Circular dated 3 June 2026; Portfolio Managers Master Circular dated 16 July 2025	Fund, pooled-vehicle and portfolio-management boundaries
SEBI conduct/derivative sources	Equity index derivative framework dated 1 October 2024; position-monitoring circulars dated 29 May and 1 September 2025; Insider Trading Regulations amended 12 March 2025; PFUTP Regulations amended 5 December 2025; SCORES 2.0 announced 1 April 2024	Margin, surveillance, abuse, advice and grievance safeguards
RBI sources	Margin for Derivative Contracts Directions dated 8 May 2024; non-centrally cleared OTC derivative margin directions updated 21 February 2025; OTC market-maker directions updated 21 February 2025; rupee interest-rate derivative directions updated 8 December 2025	Interest-rate/currency OTC perimeter and margin logic
Other official sources	PFRDA NPS architecture; IFSCA Fund Management Regulations notified 19 February 2025; exchanges, depositories and AMFI investor education	Bounded pension, IFSC, execution, custody and NAV explanations

No-advice rule: Examples explain product mechanics, not suitability or a recommendation to buy, sell or hold. Live prices, returns, expense-ratio caps, issue sizes and portfolio allocations are not frozen.

OFFICIAL LINKS CHECKED

- SEBI Mutual Funds Regulations, 2026
- SEBI Mutual Funds Master Circular, 20 March 2026
- SEBI equity index derivatives framework, 1 October 2024
- SEBI intraday index-derivative position monitoring, 1 September 2025
- SEBI REIT Master Circular, 11 July 2025
- SEBI InvIT Master Circular, 11 July 2025
- SEBI AIF Master Circular, 3 June 2026
- SEBI Portfolio Managers Master Circular, 16 July 2025
- SEBI green-debt disclosure framework, 6 February 2023
- SEBI SCORES 2.0, 1 April 2024
- RBI Margin for Derivative Contracts Directions, 8 May 2024

- RBI non-centrally cleared OTC derivative margin directions
- AMFI NAV explainer
- PFRDA NPS investment-guideline master circular
- IFSCA Fund Management Regulations, 2025

LEARNING CONTRACT

Control	Applied rule
Claim first	Identify legal claim, cash flow, priority, maturity, optionality and underlying before return
Visual first	Every Core session starts with a payoff, waterfall, ratio map, fund chain or risk loop
Current status	Changeable frameworks are dated; unstable product thresholds and performance numbers are omitted
Answer craft	Every session has Claim -> named evidence -> analysis -> qualification
Investor safety	Risk disclosure is taught; no investment recommendation is offered
Boundary	Topic 7 owns market plumbing; Topic 8 owns product mechanics, portfolios and derivative exposure

Level: Foundation -> Core -> Synthesis -> Optional Advanced. **Syllabus boundary:** Topic 7 supplies issue/trade/clearing/depository plumbing. Topic 8 owns product cash flows, valuation basics, derivative payoffs, pooled vehicles and investor/systemic risk.

BASIC LEARNING SESSION

ORIGIN AND TIMELINE

Date / stage	Institutional development	Exam use
1992	SEBI received statutory status	Securities-market regulator
1996	Depositories Act enabled dematerialised holding and transfer	Registered versus beneficial owner
2012	SEBI AIF Regulations created the category framework	Private pooled vehicles
2014	SEBI REIT and InvIT Regulations	Real-estate/infrastructure trust vehicles
2023	Green-debt disclosure and anti-greenwashing circulars	Use-of-proceeds integrity
1 October 2024	Stronger equity-index derivative framework	Premium, expiry and stability controls
11 July 2025	Current REIT and InvIT Master Circulars	Consolidated vehicle regulation
16 July 2025	Portfolio Managers Master Circular	PMS boundary
16 January / 1 April 2026	New Mutual Funds Regulations issued / effective	Current mutual-fund statutory framework
20 March / 3 June 2026	Mutual Fund / AIF Master Circulars	Current consolidated operational rules

Chronology caution: the products predate these instruments. Dates identify the verified current framework used here, not the economic origin of debt, equity or derivatives.

CORE SESSION 1 - Financial claims and priority

VISUAL FIRST

ISSUER CASH FLOW
|
+-- contractual operating / statutory claims
+-- secured and senior debt
+-- unsecured / subordinated debt
+-- preference capital
`-- ordinary equity residual

Higher priority -> lower residual upside; lower priority -> greater loss absorption

Visual reading: Claim priority structures who is paid first, but actual recovery also depends on security, covenants, asset value and insolvency law.

DEFINITION

A security is a transferable financial claim whose contract defines cash flow, control, priority and risk. Debt is a creditor claim; equity is a residual ownership claim; a hybrid deliberately combines features.

ANSWER-GRABBING LINE: The first question is not what return does it promise? but what legal claim, priority and contingency does it create?

MUST-WRITE KEYWORDS: security, creditor, residual claim, seniority, subordination, hybrid, loss absorption.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Security labels allocate rights and losses differently.
- **Named evidence:** The 2025 UPSC bondholder-stockholder question uses lender status and repayment priority to explain relative risk.
- **Analysis:** Debt's contractual priority reduces residual exposure, while equity absorbs uncertainty after creditors.
- **Qualification / demand link:** Priority is relative rather than an assurance of full payment; a deeply insolvent issuer can impose losses on creditors.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 2025 UPSC bondholder-stockholder question uses lender status and repayment priority to explain relative risk.
- **Analytical inference:** Debt's contractual priority reduces residual exposure, while equity absorbs uncertainty after creditors.

PRELIMS TRAP

Preference shares are share capital even when their dividend and priority resemble debt.

MAINS USE

Open answers by identifying the claim and insolvency position before discussing return.

MINI RECAP

- Debt = contractual claim.
- Equity = residual ownership.
- Priority lowers exposure but does not guarantee recovery.

CORE SESSION 2 - Bond anatomy

VISUAL FIRST

FACE VALUE ->	COUPON CASH FLOW ->	MATURITY ->	REDEMPTION
denomination	fixed/floating	remaining	par/premium/terms

MARKET PRICE is formed after issue; COVENANTS and SECURITY condition risk

Visual reading: Face value is the contractual reference amount, coupon rate sets periodic interest, maturity identifies repayment time, and covenants constrain issuer conduct. Security creates recourse to specified collateral; seniority orders claims.

DEFINITION

A bond is a debt security under which the issuer promises specified payments, usually coupon and principal, subject to the contract and applicable law.

ANSWER-GRABBING LINE: Bond analysis must separate promised cash flows from the market price at which that promise is traded.

MUST-WRITE KEYWORDS: face value, coupon, maturity, redemption, covenant, security, seniority, market price.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Bond terms convert financing into a priced bundle of time, credit and contractual protection.
- **Named evidence:** Corporate-bond offer documents and listed-debt disclosure rules state coupon, maturity, security, covenants and use of proceeds.
- **Analysis:** Investors price not only the cash flow but also enforceability, optionality, liquidity and issuer capacity.
- **Qualification / demand link:** A bond can be unsecured, subordinated, perpetual, floating-rate or convertible; no single feature defines all debt.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Corporate-bond offer documents and listed-debt disclosure rules state coupon, maturity, security, covenants and use of proceeds.
- **Analytical inference:** Investors price not only the cash flow but also enforceability, optionality, liquidity and issuer capacity.

PRELIMS TRAP

Do not infer market yield from the printed coupon.

MAINS USE

Use bond anatomy to structure any answer on corporate finance or household fixed-income risk.

MINI RECAP

- Coupon is contractual.
- Price is market-determined.
- Covenants and priority modify risk.

CORE SESSION 3 - Bond price, coupon, current yield and YTM

VISUAL FIRST

FIXED CASH FLOWS

|
discount at required yield
|
+-- yield rises -> present value / price falls
`-- yield falls -> present value / price rises

coupon rate = coupon / face | current yield = coupon / price | YTM = all flows

Visual reading: A fixed-coupon bond priced below par generally has current yield above coupon rate because the same coupon is divided by a lower price. YTM also includes the redemption gain or loss and time to maturity.

DEFINITION

Yield to maturity is the single discount rate that equates a bond's market price with the present value of promised cash flows held to maturity, assuming contractual payments and reinvestment conventions.

ANSWER-GRABBING LINE: Coupon describes the contract; yield describes the return implied by price, time and cash flow.

MUST-WRITE KEYWORDS: coupon rate, current yield, YTM, discounting, present value, premium, discount, price-yield.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The inverse price-yield relation is a present-value identity for fixed cash flows.
- **Named evidence:** RBI's Government-security educational material explains price, yield and the inverse relation; the same logic applies to plain corporate bonds.
- **Analysis:** Changing required yield reprices old fixed cash flows so that their return becomes competitive.
- **Qualification / demand link:** Credit-spread changes, embedded options and irregular cash flows can complicate the simple sovereign-bond illustration.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's Government-security educational material explains price, yield and the inverse relation; the same logic applies to plain corporate bonds.
- **Analytical inference:** Changing required yield reprices old fixed cash flows so that their return becomes competitive.

PRELIMS TRAP

Current yield is not total return, and YTM is not a guaranteed realised return.

MAINS USE

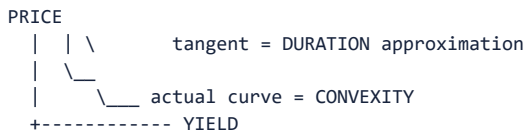
Derive the mechanism before connecting bond prices to monetary transmission or investor losses.

MINI RECAP

- Yield up means price down.
- Current yield omits redemption.
- YTM relies on contractual-payment assumptions.

CORE SESSION 4 - Duration and convexity

VISUAL FIRST



longer duration → larger approximate price response to a small yield change

Visual reading: A long-maturity low-coupon bond usually has longer duration than a similar high-coupon bond because more value arrives later. Modified duration gives a local sensitivity; convexity improves estimates for larger moves.

DEFINITION

Duration measures the weighted timing of bond cash flows; modified duration approximates the percentage price change for a small yield change. Convexity captures curvature missed by the linear approximation.

ANSWER-GRABBING LINE: Maturity tells when principal is due; duration tells how strongly present value responds to yield.

MUST-WRITE KEYWORDS: Macaulay duration, modified duration, convexity, interest-rate risk, cash-flow timing, approximation.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Duration translates the price-yield identity into a usable exposure measure.
- **Named evidence:** Fixed-income risk disclosures and portfolio reports use duration-related measures to show interest-rate sensitivity.
- **Analysis:** Later-weighted cash flows are more exposed to discount-rate changes; curvature creates asymmetric gains and losses.
- **Qualification / demand link:** Duration is not exact for large, non-parallel curve shifts or option-affected bonds.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Fixed-income risk disclosures and portfolio reports use duration-related measures to show interest-rate sensitivity.
- **Analytical inference:** Later-weighted cash flows are more exposed to discount-rate changes; curvature creates asymmetric gains and losses.

PRELIMS TRAP

Long maturity and long duration often coincide but are not synonyms.

MAINS USE

Use duration to explain why apparently safe bonds can generate mark-to-market loss.

MINI RECAP

- Duration is sensitivity, not default probability.
- Convexity refines linear estimates.
- Cash-flow timing matters.

CORE SESSION 5 - Bond risk matrix

VISUAL FIRST

PROMISED BOND RETURN

- |
- +-- DEFAULT / CREDIT -> payment failure or spread widening
- +-- INTEREST RATE -> price movement
- +-- REINVESTMENT -> coupons reinvest at uncertain rates
- +-- LIQUIDITY -> exit price concession
- +-- INFLATION -> real purchasing-power erosion
- `-- CALL / EVENT / CURRENCY -> contract-specific risk

Visual reading: Credit deterioration raises the spread over a benchmark and lowers price. Rate rises reduce fixed-bond value. Falling rates can lower coupon reinvestment income. Illiquid markets impose discounts, inflation erodes real return and embedded options redistribute upside.

DEFINITION

Bond risk is multidimensional: contractual priority does not remove default, market, reinvestment, liquidity, inflation, optionality or currency exposure.

ANSWER-GRABBING LINE: Fixed income means a specified cash-flow rule, not a fixed realised return in every holding period.

MUST-WRITE KEYWORDS: default risk, credit spread, reinvestment risk, liquidity risk, inflation risk, currency risk, event risk.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A single promised yield can conceal several distinct risk premia.
- **Named evidence:** Credit ratings, offer documents, trading liquidity and duration disclosures provide different evidence; none substitutes for the others.
- **Analysis:** Separating channels prevents the mistaken inference that high priority or rating eliminates mark-to-market loss.
- **Qualification / demand link:** Risk interactions matter: a downgrade can trigger forced sales, wider spreads and evaporating liquidity.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Credit ratings, offer documents, trading liquidity and duration disclosures provide different evidence; none substitutes for the others.
- **Analytical inference:** Separating channels prevents the mistaken inference that high priority or rating eliminates mark-to-market loss.

PRELIMS TRAP

Credit rating is an opinion, not repayment insurance or investment advice.

MAINS USE

Build evaluation around the risk matrix and identify who bears each risk.

MINI RECAP

- Credit and rate risk differ.
- Liquidity changes exit cost.
- Inflation affects real return.

CORE SESSION 6 - Zero-coupon, floating-rate and inflation-indexed bonds

VISUAL FIRST

CASH-FLOW DESIGN

- +++ ZERO COUPON: issue discount -> one redemption payment
- +++ FLOATING RATE: coupon resets to benchmark + spread
- +++ INFLATION INDEXED: principal/coupon linkage to stated index

Design reallocates risk; it never abolishes all risk.

Visual reading: A zero-coupon bond has no periodic coupon and is issued at a discount. A floating-rate bond reduces sensitivity around reset dates but retains spread and basis risk. Inflation indexation protects the indexed component, subject to index choice, lag, taxation and liquidity.

DEFINITION

Bond cash flows can be redesigned: zero-coupon bonds defer payment, floating-rate bonds reset coupons, and inflation-indexed bonds link specified payments to an inflation index.

ANSWER-GRABBING LINE: Instrument design moves duration, reinvestment and inflation risk between issuer and investor.

MUST-WRITE KEYWORDS: zero-coupon bond, floating-rate bond, reset, benchmark, inflation index, real return, indexation lag.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Different cash-flow rules address different risks.
- **Named evidence:** RBI Government-security material and the routed 2022 inflation-indexed-bond demand support these distinctions.
- **Analysis:** Deferral increases duration for zero-coupon debt; reset reduces fixed-rate exposure; indexation shifts measured-inflation risk.
- **Qualification / demand link:** No design guarantees a positive realised real return after tax, transaction cost or market-price movement.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI Government-security material and the routed 2022 inflation-indexed-bond demand support these distinctions.
- **Analytical inference:** Deferral increases duration for zero-coupon debt; reset reduces fixed-rate exposure; indexation shifts measured-inflation risk.

PRELIMS TRAP

Floating rate is not fixed return, and inflation-linked is not price-stable.

MAINS USE

Compare instruments by which uncertainty is transferred rather than by product label.

MINI RECAP

- Zero coupon means no periodic coupon.
- Floating coupons reset.
- Indexation depends on the stated index.

CORE SESSION 7 - Callable, puttable and convertible bonds

VISUAL FIRST

EMBEDDED OPTION

- +-- CALLABLE: issuer may redeem early -> caps investor upside
- +-- PUTTABLE: investor may demand early redemption -> investor protection
- `-- CONVERTIBLE: debt may become equity -> dilution + equity participation

OPTION HOLDER gains choice; counterparty bears the contingent obligation.

Visual reading: Issuers tend to call expensive debt when refinancing becomes cheaper, exposing investors to reinvestment risk. A put protects the investor under stated conditions. A convertible may offer a lower coupon in exchange for potential equity upside.

DEFINITION

An embedded option modifies an otherwise debt-like contract by assigning a conditional right to issuer or investor.

ANSWER-GRABBING LINE: Optionality changes both cash-flow timing and who benefits when rates or equity value move.

MUST-WRITE KEYWORDS: callable, puttable, convertible, conversion ratio, call risk, put right, dilution, embedded option.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The option holder exercises when doing so is valuable, creating asymmetric incentives.
- **Named evidence:** Offer documents specify call dates, put conditions and conversion terms; the 2022 routed convertible-bond PYQ tests the debt-equity bridge.
- **Analysis:** Option value alters the bond's price and duration, while conversion can shift creditor status into ownership.
- **Qualification / demand link:** Exercise is governed by contract; may convert is not the same as automatic conversion.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Offer documents specify call dates, put conditions and conversion terms; the 2022 routed convertible-bond PYQ tests the debt-equity bridge.
- **Analytical inference:** Option value alters the bond's price and duration, while conversion can shift creditor status into ownership.

PRELIMS TRAP

Callable and puttable are opposites, while convertible concerns claim transformation.

MAINS USE

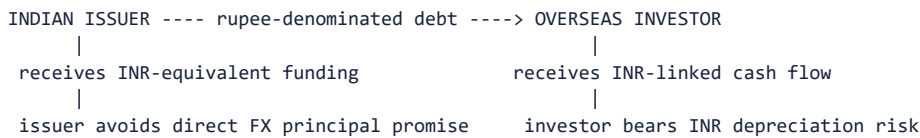
Use optionality to explain financing-cost and risk-sharing trade-offs.

MINI RECAP

- Issuer owns call.
- Investor owns put.
- Convertible begins as debt.

CORE SESSION 8 - Masala bonds and currency-risk allocation

VISUAL FIRST



Visual reading: Rupee denomination means contractual payments are fixed in rupees even though settlement reaches an overseas investor. If the rupee depreciates, the foreign-currency value of those payments falls for the investor.

DEFINITION

A Masala bond is rupee-denominated debt issued overseas by an eligible Indian entity under the external-commercial-borrowing framework.

ANSWER-GRABBING LINE: The defining feature is not where the project is located but that overseas investors bear the rupee exchange-rate exposure.

MUST-WRITE KEYWORDS: Masala bond, rupee denomination, overseas issue, ECB, currency risk, FEMA, external borrowing.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Masala bonds shift direct currency mismatch away from the Indian issuer while retaining credit and refinancing risk.
- **Named evidence:** RBI's External Commercial Borrowing framework and earlier rupee-denominated overseas-bond circulars establish the product.
- **Analysis:** Currency-risk allocation can broaden offshore rupee finance without converting the bond into domestic sovereign debt.
- **Qualification / demand link:** Eligibility, maturity, cost and end-use rules change; verify the current ECB direction rather than memorising old thresholds.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's External Commercial Borrowing framework and earlier rupee-denominated overseas-bond circulars establish the product.
- **Analytical inference:** Currency-risk allocation can broaden offshore rupee finance without converting the bond into domestic sovereign debt.

PRELIMS TRAP

Masala does not mean tax-free, government-guaranteed or issued only in London.

MAINS USE

Use as an example of contract denomination reallocating macro-financial risk.

MINI RECAP

- Issued overseas.
- Denominated in rupees.
- Investor bears direct INR currency movement.

CORE SESSION 9 - Green, social and sustainability bonds

VISUAL FIRST

USE OF PROCEEDS

- +-- GREEN -> eligible environmental projects
- +-- SOCIAL -> eligible social projects
- `-- SUSTAINABILITY -> green + social portfolio

LABEL -> project selection -> proceeds tracking -> reporting -> external review

Visual reading: SEBI's 6 February 2023 green-debt circular requires additional disclosure on objectives, project selection, use and tracking of proceeds, and reporting. Its anti-greenwashing guidance addresses misleading labels.

DEFINITION

A labelled use-of-proceeds bond remains a debt claim, while its proceeds are committed and disclosed for specified environmental or social purposes.

ANSWER-GRABBING LINE: A green label changes the use-of-proceeds covenant and disclosure burden, not the issuer's credit quality by itself.

MUST-WRITE KEYWORDS: green debt security, social bond, sustainability bond, use of proceeds, greenwashing, impact reporting.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Credibility depends on traceable allocation and continuing disclosure.
- **Named evidence:** SEBI's Non-Convertible Securities framework and 2023 circulars provide the domestic listed green-debt anchor.
- **Analysis:** Disclosure lets investors test whether environmental claims match actual allocation, but repayment still depends on issuer capacity.
- **Qualification / demand link:** Environmental impact, credit risk and market liquidity must be assessed separately.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's Non-Convertible Securities framework and 2023 circulars provide the domestic listed green-debt anchor.
- **Analytical inference:** Disclosure lets investors test whether environmental claims match actual allocation, but repayment still depends on issuer capacity.

PRELIMS TRAP

A sustainability bond is not synonymous with a green bond; it can combine green and social uses.

MAINS USE

Use the framework to connect capital mobilisation with taxonomy and accountability.

MINI RECAP

- Label is use-of-proceeds based.
- Disclosure combats greenwashing.
- Credit risk remains.

CORE SESSION 10 - Equity ownership and shareholder return

VISUAL FIRST

EQUITY HOLDER

- +-- residual cash-flow claim
- +-- voting / governance rights where applicable
- +-- dividend if declared
- `-- capital gain or loss from market price

UPSIDE is open-ended; repayment and dividend are not contractually fixed.

Visual reading: Share value depends on expected cash flows, growth, governance, discount rates and market sentiment. Dividends require lawful declaration; a shareholder cannot demand coupon-like payment.

DEFINITION

An ordinary equity share represents ownership and a residual claim after contractual obligations, with governance rights subject to company law and the class of share.

ANSWER-GRABBING LINE: Equity finances risk capital because shareholders absorb uncertainty after creditors.

MUST-WRITE KEYWORDS: shareholder, residual claim, voting rights, dividend, capital gain, limited liability, dilution.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Ownership links return to enterprise performance and gives residual control rights.
- **Named evidence:** The Companies Act, listing framework and 2025 UPSC bond-versus-stock question establish the lender-owner distinction.
- **Analysis:** Residual status supports upside when enterprise value grows but also places equity behind creditors in distress.
- **Qualification / demand link:** Different share classes can modify voting or economic rights, and limited liability does not prevent investment loss.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The Companies Act, listing framework and 2025 UPSC bond-versus-stock question establish the lender-owner distinction.
- **Analytical inference:** Residual status supports upside when enterprise value grows but also places equity behind creditors in distress.

PRELIMS TRAP

Dividend yield is not a contractual interest rate.

MAINS USE

Use ownership, control, dilution and residual risk as the equity answer spine.

MINI RECAP

- Equity is ownership.
- Dividend is not guaranteed.
- Residual rank creates upside and downside.

CORE SESSION 11 - Market capitalisation and EPS

VISUAL FIRST

MARKET CAPITALISATION = market price per share x shares outstanding

$$\frac{\text{PROFIT AVAILABLE TO ORDINARY EQUITY}}{\text{weighted-average ordinary shares}} = \text{EPS}$$

Price can move without immediate change in accounting profit.

Visual reading: A stock split changes units and price without mechanically changing firm value. A fresh issue can raise capital and dilute per-share metrics. Diluted EPS reflects potential ordinary shares under accounting rules.

DEFINITION

Market capitalisation is the market value of outstanding equity, while earnings per share allocates relevant accounting earnings across the weighted-average ordinary-share base.

ANSWER-GRABBING LINE: Market cap measures market valuation; EPS measures accounting earnings per share. Neither measures cash in the investor's bank account.

MUST-WRITE KEYWORDS: market capitalisation, EPS, shares outstanding, weighted average, diluted EPS, accounting earnings.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Denominator discipline prevents misleading comparisons.
- **Named evidence:** Listed-company financial statements and exchange disclosures report share capital, earnings and diluted metrics.
- **Analysis:** Market cap is forward-looking and price-sensitive; EPS is backward-looking and accounting-dependent.
- **Qualification / demand link:** Cross-company comparison requires consistency in accounting, capital structure and business quality.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Listed-company financial statements and exchange disclosures report share capital, earnings and diluted metrics.
- **Analytical inference:** Market cap is forward-looking and price-sensitive; EPS is backward-looking and accounting-dependent.

PRELIMS TRAP

High EPS alone does not mean cheap valuation or high total profit.

MAINS USE

Use formula, denominator and limitation in every ratio answer.

MINI RECAP

- Market cap uses current price.
- EPS uses weighted shares.
- Dilution matters.

CORE SESSION 12 - P-E, P-B and dividend yield

VISUAL FIRST

VALUATION LENSES

P/E = price / EPS -> price paid per earnings unit
P/B = price / book value -> price paid per net-asset unit
Dividend yield = dividend / price

ONE RATIO -> ONE LENS, not an investment verdict

Visual reading: P-E may be meaningless with negative earnings and distorted near cyclical peaks or troughs. P-B is more informative where book assets matter but weaker for intangible-heavy firms. Dividend yield can rise because price fell, not because the business improved.

DEFINITION

Price-earnings, price-book and dividend-yield ratios relate market price to different accounting or distribution measures.

ANSWER-GRABBING LINE: Valuation ratios are questions to investigate, not self-executing buy or sell signals.

MUST-WRITE KEYWORDS: P-E ratio, P-B ratio, book value, dividend yield, valuation, cyclicity, accounting quality.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Each ratio compresses assumptions about growth, risk, accounting and payout.
- **Named evidence:** SEBI-regulated issuer disclosures provide the underlying price and financial-statement data; interpretation remains analytical.
- **Analysis:** Peer, time-period and business-model comparability are necessary before a ratio supports valuation inference.
- **Qualification / demand link:** Ratios omit governance, cash-flow quality, leverage and future investment requirements.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI-regulated issuer disclosures provide the underlying price and financial-statement data; interpretation remains analytical.
- **Analytical inference:** Peer, time-period and business-model comparability are necessary before a ratio supports valuation inference.

PRELIMS TRAP

Low P-E is not automatically cheap; high dividend yield is not guaranteed income.

MAINS USE

Use at least two ratios plus qualitative context in an analytical answer.

MINI RECAP

- P-E links price to earnings.
- P-B links price to net assets.
- Yield can rise when price falls.

CORE SESSION 13 - Preference shares

VISUAL FIRST

CAPITAL STACK

debt interest / principal

|

preference dividend + capital priority

|

ordinary equity residual

PREFERENCE SHARE = share capital with preferential economic rights

Visual reading: Preference dividends may be cumulative or non-cumulative; shares may have participating or conversion features. Their voting rights are generally more limited than ordinary equity, subject to statute and non-payment conditions.

DEFINITION

A preference share is share capital carrying preferential rights over ordinary equity regarding dividend and repayment of capital, subject to its terms and company law.

ANSWER-GRABBING LINE: Preference shares occupy a hybrid economic position but remain equity share capital rather than ordinary debt.

MUST-WRITE KEYWORDS: preference share, cumulative, non-cumulative, participating, convertible, redeemable, priority.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Preference capital can preserve ordinary control while offering investors priority over common equity.
- **Named evidence:** Companies Act classifications and issue terms define the actual rights.
- **Analysis:** Priority over ordinary equity does not put preference holders ahead of secured or senior creditors.
- **Qualification / demand link:** Fixed-looking dividends do not automatically create a bond.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Companies Act classifications and issue terms define the actual rights.
- **Analytical inference:** Priority over ordinary equity does not put preference holders ahead of secured or senior creditors.

PRELIMS TRAP

Use preference shares to demonstrate that legal form and economic features can differ.

MAINS USE

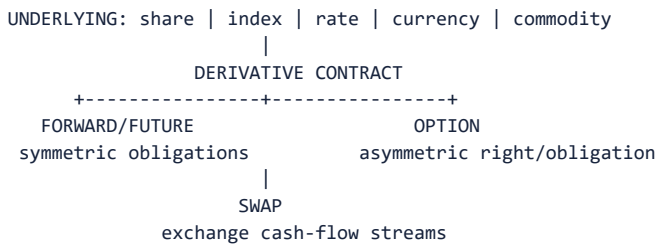
Use the capital-stack visual to compare financing flexibility, control and repayment priority.

MINI RECAP

- Preference is over ordinary equity.
- It remains share capital.
- Terms control dividend and conversion rights.

CORE SESSION 14 - Derivative architecture

VISUAL FIRST



Visual reading: Forwards and futures create two-sided obligations. An option gives the buyer a right against the writer's contingent obligation. A swap exchanges specified cash-flow streams. Notional amount measures reference exposure, not necessarily cash paid.

DEFINITION

A derivative is a contract whose value is derived from an underlying asset, rate, index or event.

ANSWER-GRABBING LINE: A derivative reallocates exposure; whether it reduces or creates risk depends on the user's existing position and contract size.

MUST-WRITE KEYWORDS: underlying, notional, forward, future, option, swap, payoff, leverage.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Contract form determines payoff symmetry and collateral needs.
- **Named evidence:** SEBI regulates exchange-traded securities derivatives; RBI directions govern specified OTC interest-rate and foreign-exchange derivatives.
- **Analysis:** Low initial cash relative to notional creates leverage, which supports hedging efficiency and magnifies speculation.
- **Qualification / demand link:** A derivative's zero initial value or small premium does not imply zero exposure.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI regulates exchange-traded securities derivatives; RBI directions govern specified OTC interest-rate and foreign-exchange derivatives.
- **Analytical inference:** Low initial cash relative to notional creates leverage, which supports hedging efficiency and magnifies speculation.

PRELIMS TRAP

Notional is not the same as maximum loss or market value.

MAINS USE

Define underlying, payoff, purpose and settlement before evaluating derivatives.

MINI RECAP

- Value derives from an underlying.
- Payoffs can be symmetric or asymmetric.
- Purpose depends on exposure.

CORE SESSION 15 - Forwards versus futures

VISUAL FIRST

FORWARD

custom OTC contract
bilateral counterparty exposure
usually settles at maturity
flexible terms

FUTURE

standard exchange contract
CCP interposition
daily mark-to-market
standard lot/expiry

Both bind buyer and seller unless closed or offset.

Visual reading: Both contracts lock a future transaction price. Futures use margin and daily mark-to-market, so gains and losses become cash-flow demands before final expiry. Forwards concentrate bilateral replacement risk unless collateralised or centrally cleared.

DEFINITION

A forward is a customised bilateral obligation, usually OTC; a future is a standardised exchange-traded obligation cleared through a central counterparty.

ANSWER-GRABBING LINE: Standardisation increases liquidity and risk control but reduces contractual flexibility.

MUST-WRITE KEYWORDS: forward, future, OTC, standardisation, central counterparty, daily settlement, basis risk.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Institutional design changes the timing and location of counterparty risk.
- **Named evidence:** Exchange and clearing-corporation rules govern futures; RBI's updated OTC market-maker and margin directions govern specified rate/currency forwards.
- **Analysis:** CCP clearing mutualises and manages default, while daily settlement can generate liquidity pressure during volatility.
- **Qualification / demand link:** A customised forward can hedge more precisely but may be harder to exit.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Exchange and clearing-corporation rules govern futures; RBI's updated OTC market-maker and margin directions govern specified rate/currency forwards.
- **Analytical inference:** CCP clearing mutualises and manages default, while daily settlement can generate liquidity pressure during volatility.

PRELIMS TRAP

A futures buyer does not own the underlying merely by paying margin.

MAINS USE

Compare flexibility, liquidity, margin, counterparty and basis risk.

MINI RECAP

- Both sides are obligated.
- Futures are standardised.
- Forwards retain bilateral exposure.

CORE SESSION 16 - Options and payoff asymmetry

VISUAL FIRST

CALL BUYER PAYOFF = $\max(\text{spot} - \text{strike}, 0) - \text{premium}$

PUT BUYER PAYOFF = $\max(\text{strike} - \text{spot}, 0) - \text{premium}$

BUYER: right, premium paid, can allow expiry

WRITER: obligation if exercised, margin/collateral required

break-even is not the strike because premium matters

Visual reading: A call gains intrinsic value above strike and a put below strike. Profit subtracts premium. Time value reflects remaining time, volatility, rates and other inputs; it can disappear at expiry.

DEFINITION

A call option gives its buyer the right to buy; a put gives the right to sell, at the strike on specified terms. The writer bears the corresponding obligation.

ANSWER-GRABBING LINE: Option asymmetry limits the long buyer's contractual loss to premium but can expose an uncovered writer to large loss.

MUST-WRITE KEYWORDS: call, put, strike, premium, expiry, writer, intrinsic value, break-even.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The premium purchases choice, while the writer receives premium for accepting contingent exposure.
- **Named evidence:** SEBI's exchange-derivative framework requires margin and risk controls; the 1 October 2024 circular strengthened upfront option-premium collection and market safeguards.
- **Analysis:** Options support insurance-like hedges, but repeated short-tenor speculation can create leverage and conduct concerns.
- **Qualification / demand link:** Maximum loss equals premium applies to a long option held to expiry, not to every strategy or option writer.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's exchange-derivative framework requires margin and risk controls; the 1 October 2024 circular strengthened upfront option-premium collection and market safeguards.
- **Analytical inference:** Options support insurance-like hedges, but repeated short-tenor speculation can create leverage and conduct concerns.

PRELIMS TRAP

A put is not a promise that the market price cannot fall.

MAINS USE

Draw the payoff, mark strike and premium, then identify hedge or speculation.

MINI RECAP

- Call = right to buy.
- Put = right to sell.
- Writer carries obligation.

CORE SESSION 17 - Swaps

VISUAL FIRST

FIXED-RATE PAYER ---- fixed cash flow ----> FLOATING-RATE PAYER
<--- floating cash flow ----

CURRENCY SWAP: exchanges specified currency-linked streams
Reference notional may calculate flows without being fully exchanged.

Visual reading: A fixed-floating interest-rate swap can convert economic exposure from fixed to floating or vice versa. Currency swaps can exchange principal and interest streams under their terms. Valuation changes create counterparty exposure.

DEFINITION

A swap is a derivative agreement to exchange specified cash-flow streams according to a formula and schedule.

ANSWER-GRABBING LINE: Swaps transform an exposure profile without necessarily refinancing the underlying asset or liability.

MUST-WRITE KEYWORDS: interest-rate swap, currency swap, fixed leg, floating leg, notional, counterparty, collateral.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The same cash-flow exchange can hedge a genuine mismatch or create a leveraged view.
- **Named evidence:** RBI's OTC derivative market-maker directions, updated 21 February 2025, and margin frameworks govern specified interest-rate and foreign-exchange transactions.
- **Analysis:** Collateral, close-out netting, reporting and central clearing where applicable reduce but do not erase risk.
- **Qualification / demand link:** Not every swap exchanges principal, and a swap does not cancel the original loan.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's OTC derivative market-maker directions, updated 21 February 2025, and margin frameworks govern specified interest-rate and foreign-exchange transactions.
- **Analytical inference:** Collateral, close-out netting, reporting and central clearing where applicable reduce but do not erase risk.

PRELIMS TRAP

Do not confuse a currency swap derivative with a central-bank liquidity swap line.

MAINS USE

Use swaps to show balance-sheet risk transformation and the need for collateral discipline.

MINI RECAP

- Swaps exchange streams.
- Notional is a reference base.
- OTC exposure needs margin and documentation.

CORE SESSION 18 - Hedging, speculation and arbitrage

VISUAL FIRST

EXISTING EXPOSURE?

```
|
+-- YES + offsetting derivative -> HEDGE
|     residual: basis / quantity / timing risk
|
+-- NO + directional exposure -> SPECULATION
|
|-- PRICE INCONSISTENCY + offsetting trades -> ARBITRAGE
|     execution / funding / model limits remain
```

Visual reading: An exporter selling future dollars hedges receivables; a trader selling dollars without exposure speculates. Cash-futures arbitrage links spot and derivative prices, but transaction costs, funding and execution timing limit a theoretical opportunity.

DEFINITION

Hedging reduces a pre-existing exposure; speculation creates or enlarges exposure; arbitrage seeks to exploit inconsistent prices through offsetting positions.

ANSWER-GRABBING LINE: The same derivative cannot be classified by name alone because economic purpose depends on the underlying exposure.

MUST-WRITE KEYWORDS: hedge, speculation, arbitrage, basis risk, over-hedging, directional position, convergence.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Purpose and hedge ratio determine whether risk falls or rises.
- **Named evidence:** Exchange and RBI derivative frameworks recognise users, market makers, reporting, margin and position controls rather than assuming all contracts are hedges.
- **Analysis:** A mismatched maturity or quantity leaves basis risk; over-hedging reverses the sign of exposure.
- **Qualification / demand link:** Arbitrage is not costless or riskless in practice despite a low-risk theoretical construction.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Exchange and RBI derivative frameworks recognise users, market makers, reporting, margin and position controls rather than assuming all contracts are hedges.
- **Analytical inference:** A mismatched maturity or quantity leaves basis risk; over-hedging reverses the sign of exposure.

PRELIMS TRAP

Buying a put may hedge a portfolio; buying the same put without exposure is speculation.

MAINS USE

Use a before-and-after exposure table to prove whether a position hedges.

MINI RECAP

- Hedge needs prior exposure.
- Speculation adds exposure.
- Arbitrage links mispriced claims.

CORE SESSION 19 - Margin, mark-to-market and counterparty risk

VISUAL FIRST

POSITION OPENED -> INITIAL MARGIN
|
daily price change -> MARK-TO-MARKET
|
loss -> variation margin call -> fund or close
|
default -> CCP waterfall / collateral / close-out

LEVERAGE: small posted funds can support large notional exposure

Visual reading: Futures are settled daily through clearing systems. Adverse moves require variation margin, while initial margin covers potential future exposure. OTC contracts rely on bilateral or regulatory collateral and close-out arrangements unless centrally cleared.

DEFINITION

Margin is collateral supporting performance; mark-to-market periodically recognises gains and losses at current prices.

ANSWER-GRABBING LINE: Margin reduces counterparty loss after default but can transmit liquidity stress before default.

MUST-WRITE KEYWORDS: initial margin, variation margin, mark-to-market, default fund, margin call, leverage, counterparty risk.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Frequent settlement contains accumulated exposure but turns volatility into immediate funding demand.
- **Named evidence:** SEBI strengthened equity-index derivative risk management from 1 October 2024; RBI's 8 May 2024 and updated non-centrally-cleared OTC directions govern relevant margin channels.
- **Analysis:** CCP safeguards reduce bilateral uncertainty while concentrating operational and default-management dependence.
- **Qualification / demand link:** Margin is collateral, not the purchase price or maximum possible loss.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI strengthened equity-index derivative risk management from 1 October 2024; RBI's 8 May 2024 and updated non-centrally-cleared OTC directions govern relevant margin channels.
- **Analytical inference:** CCP safeguards reduce bilateral uncertainty while concentrating operational and default-management dependence.

PRELIMS TRAP

High notional relative to capital can force sales and amplify market shocks.

MAINS USE

Connect leverage, margin calls and liquidity spirals in systemic-risk answers.

MINI RECAP

- Margin backs performance.
- MTM realises daily variation.
- Leverage magnifies cash-flow stress.

CORE SESSION 20 - Exchange-traded versus OTC derivatives

VISUAL FIRST

EXCHANGE-TRADED	OTC
standard contract	customised contract
transparent order book	bilateral / platform execution
CCP clearing	bilateral or cleared
standard margin	negotiated + regulatory margin
liquid exit	bespoke hedge match

Visual reading: Equity and commodity futures/options are typically exchange-traded. Interest-rate and foreign-exchange forwards or swaps may be OTC under RBI's functional perimeter. Reporting and margining make OTC regulated rather than invisible.

DEFINITION

Exchange-traded derivatives use standardised contracts and organised venues; OTC derivatives are negotiated outside recognised exchanges, though electronic platforms and central clearing may still be used.

ANSWER-GRABBING LINE: Venue choice trades standardisation and liquidity against precision of hedge design.

MUST-WRITE KEYWORDS: exchange-traded, OTC, standard contract, bespoke, trade repository, central clearing, documentation.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Transparency, exit and counterparty arrangements differ across venue structures.
- **Named evidence:** SEBI exchange rules and RBI OTC market-maker/margin directions allocate the relevant Indian regulatory functions.
- **Analysis:** A bespoke hedge can reduce basis risk but increase valuation, documentation and bilateral-exposure complexity.
- **Qualification / demand link:** Electronic execution does not automatically make a contract exchange-traded.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI exchange rules and RBI OTC market-maker/margin directions allocate the relevant Indian regulatory functions.
- **Analytical inference:** A bespoke hedge can reduce basis risk but increase valuation, documentation and bilateral-exposure complexity.

PRELIMS TRAP

OTC is not a synonym for illegal, unreported or uncollateralised.

MAINS USE

Compare execution, standardisation, clearing, collateral, reporting and exit.

MINI RECAP

- Exchange contracts are standard.
- OTC contracts can be customised.
- Both can be regulated.

CORE SESSION 21 - Mutual-fund architecture and NAV

VISUAL FIRST

INVESTOR -> UNITS -> MUTUAL FUND TRUST

|
AMC manages -> portfolio securities
trustee oversees | custodian holds assets

NAV per unit = (assets - liabilities) / units outstanding

Visual reading: The asset management company takes portfolio decisions, trustees oversee compliance and the custodian holds scheme assets. NAV values net scheme assets per outstanding unit; purchase/redemption applies the relevant NAV and cut-off rules.

DEFINITION

A mutual fund pools investor money under a scheme mandate and issues units representing proportionate beneficial interest in the scheme portfolio.

ANSWER-GRABBING LINE: The unit-holder owns a pooled claim at NAV, not each portfolio security directly.

MUST-WRITE KEYWORDS: mutual fund, unit holder, AMC, trustee, custodian, NAV, scheme mandate, segregation.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Institutional separation controls agency and custody risk.
- **Named evidence:** SEBI Mutual Funds Regulations dated 16 January 2026, effective 1 April 2026, and the 20 March 2026 Master Circular form the current domestic framework.
- **Analysis:** NAV can fall with market prices or credit events; daily computation is valuation, not a capital guarantee.
- **Qualification / demand link:** Entry/exit loads, applicable NAV, taxes and expenses affect investor return without changing the formula.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI Mutual Funds Regulations dated 16 January 2026, effective 1 April 2026, and the 20 March 2026 Master Circular form the current domestic framework.
- **Analytical inference:** NAV can fall with market prices or credit events; daily computation is valuation, not a capital guarantee.

PRELIMS TRAP

NAV is not the same as market price of an ETF.

MAINS USE

Use the trust-AMC-trustee-custodian chain to explain investor safeguards.

MINI RECAP

- Units are pooled claims.
- NAV uses net assets.
- Roles are institutionally separated.

CORE SESSION 22 - Open/closed, active/passive, index and ETF

VISUAL FIRST

LIQUIDITY FORM: open-ended <-> fund redemption | closed-ended -> fixed term/listing

MANAGEMENT: active -> selection | passive/index -> track benchmark

TRADING: ordinary open fund -> applicable NAV | ETF -> exchange market price

ETF price can differ from NAV; authorised creation/redemption supports alignment.

Visual reading: Open-ended units are continuously purchased or redeemed under scheme rules. Closed-ended schemes have a fixed term and may provide exchange liquidity. An index fund seeks benchmark replication through fund transactions; an ETF trades intraday on an exchange and can show premium or discount to NAV.

DEFINITION

Fund schemes can be classified independently by redemption structure, portfolio-management style, asset class and trading form.

ANSWER-GRABBING LINE: Open-ended, passive and equity describe different axes; none implies the others.

MUST-WRITE KEYWORDS: open-ended, closed-ended, active, passive, index fund, ETF, tracking error, authorised participant.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Multiple classification axes explain why apparently similar pooled products behave differently.
- **Named evidence:** The SEBI 2026 mutual-fund framework and SEBI Index Providers Regulations, 2024, support scheme and benchmark governance.
- **Analysis:** Passive investing reduces security-selection discretion but retains tracking, concentration, liquidity and benchmark-design risk.
- **Qualification / demand link:** Exchange listing does not ensure a tight bid-ask spread or perfect NAV tracking.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The SEBI 2026 mutual-fund framework and SEBI Index Providers Regulations, 2024, support scheme and benchmark governance.
- **Analytical inference:** Passive investing reduces security-selection discretion but retains tracking, concentration, liquidity and benchmark-design risk.

PRELIMS TRAP

ETF is a pooled unit, not an ordinary company share merely because both trade intraday.

MAINS USE

Compare purchase route, pricing moment, redemption promise, discretion and tracking risk.

MINI RECAP

- Open-ended concerns redemption.
- Passive concerns strategy.
- ETF concerns exchange trading.

CORE SESSION 23 - Fund asset class, direct/regular and expenses

VISUAL FIRST

ASSET MANDATE: equity | debt | hybrid | solution-oriented | other

SAME SCHEME PORTFOLIO

+-- DIRECT PLAN -> no distributor commission in plan expenses
`-- REGULAR PLAN -> distributor route and commission cost

INVESTOR RETURN = portfolio return - expenses - applicable costs/tax

Visual reading: Equity, debt and hybrid schemes allocate risk differently. A direct plan excludes distributor commission; a regular plan includes distribution cost. Total Expense Ratio covers recurring scheme expenses and reduces NAV-based returns.

DEFINITION

A mutual-fund plan is a cost/distribution variant within a scheme; asset class and investment objective belong to the scheme mandate.

ANSWER-GRABBING LINE: Direct and regular plans do not represent different underlying portfolio strategies merely because their expense ratios and NAVs differ.

MUST-WRITE KEYWORDS: equity fund, debt fund, hybrid fund, direct plan, regular plan, TER, expense ratio, distribution.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Compounding makes cost differences meaningful, but low cost does not establish suitability or superior future performance.
- **Named evidence:** SEBI's 20 March 2026 Master Circular and AMFI disclosures govern plan labels, NAV and expense transparency.
- **Analysis:** TER ceilings and components depend on the current regulatory framework and scheme facts; no stale universal cap should be memorised.
- **Qualification / demand link:** Direct plan means direct distribution, not direct ownership of each security.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's 20 March 2026 Master Circular and AMFI disclosures govern plan labels, NAV and expense transparency.
- **Analytical inference:** TER ceilings and components depend on the current regulatory framework and scheme facts; no stale universal cap should be memorised.

PRELIMS TRAP

An index fund can have tracking error even with a low expense ratio.

MAINS USE

Separate mandate risk, management style and distribution cost in fund comparisons.

MINI RECAP

- Asset class sets exposure.
- Plan changes cost route.
- Expenses reduce returns.

CORE SESSION 24 - Riskometer and mutual-fund safeguards

VISUAL FIRST

SCHEME RISK -> RISKOMETER: Low | Low-Moderate | Moderate
| Moderately High | High | Very High

DISCLOSURE -> valuation -> custody -> liquidity management -> grievance
|
stress / credit event
|
segregation where permitted

Visual reading: SEBI's 5 November 2024 circular enhanced expense, return, yield and Riskometer disclosure. The 2026 mutual-fund framework consolidates scheme safeguards. Segregated portfolios may isolate affected debt assets after specified credit events, protecting equitable treatment rather than erasing loss.

DEFINITION

The Riskometer is a standardised mutual-fund risk label; it supports comparison but does not predict return or cap loss.

ANSWER-GRABBING LINE: Investor protection combines disclosure, governance, custody, valuation, liquidity management and remedy rather than one warning symbol.

MUST-WRITE KEYWORDS: Riskometer, SID, KIM, TER disclosure, segregated portfolio, liquidity risk, SCORES, trustee.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Risk labels and portfolio disclosure improve informed choice only when investors understand horizon and liquidity.
- **Named evidence:** SEBI regulations, the 20 March 2026 Master Circular and SCORES 2.0 announced 1 April 2024 supply the current control architecture.
- **Analysis:** Trustee/custodian separation reduces agency risk, while stress testing and liquidity tools address redemption pressure.
- **Qualification / demand link:** Riskometer categories can change as portfolio risk changes and do not replace suitability analysis.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI regulations, the 20 March 2026 Master Circular and SCORES 2.0 announced 1 April 2024 supply the current control architecture.
- **Analytical inference:** Trustee/custodian separation reduces agency risk, while stress testing and liquidity tools address redemption pressure.

PRELIMS TRAP

A higher NAV does not mean a fund is more expensive or safer.

MAINS USE

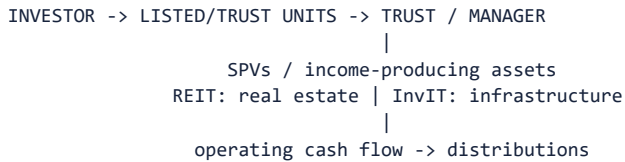
Use a safeguard chain: disclose -> segregate roles -> manage liquidity -> resolve grievance.

MINI RECAP

- Riskometer is a label.
- Custody is separate from management.
- Side pockets allocate credit-event effects.

CORE SESSION 25 - REITs and InvITs

VISUAL FIRST



Visual reading: REIT cash flows depend on rent, occupancy and property values; InvIT cash flows can depend on traffic, tariffs, availability and project operation. Sponsors, managers, trustees and valuers have distinct roles.

DEFINITION

REITs and InvITs are SEBI-regulated trust-based pooled vehicles providing exposure to real-estate or infrastructure cash flows, often through special-purpose vehicles.

ANSWER-GRABBING LINE: They convert relatively illiquid operating assets into tradable units but do not make the underlying cash flow risk-free.

MUST-WRITE KEYWORDS: REIT, InvIT, trust, SPV, unit holder, distribution, occupancy risk, project risk.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Pooling and listing widen access while separating asset ownership, management and investor units.
- **Named evidence:** SEBI's separate REIT and InvIT Master Circulars dated 11 July 2025 control the current domestic frameworks.
- **Analysis:** Leverage, valuation, related-party transactions and underlying-sector shocks can affect distributions and unit prices.
- **Qualification / demand link:** Tax treatment varies by distribution component and law; do not infer it from the trust label.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's separate REIT and InvIT Master Circulars dated 11 July 2025 control the current domestic frameworks.
- **Analytical inference:** Leverage, valuation, related-party transactions and underlying-sector shocks can affect distributions and unit prices.

PRELIMS TRAP

InvIT is not an infrastructure mutual fund and is not governed by SARFAESI merely because it holds infrastructure assets.

MAINS USE

Compare asset base, cash-flow driver, liquidity and governance.

MINI RECAP

- REIT links to real estate.
- InvIT links to infrastructure.
- Units remain exposed to operating risk.

CORE SESSION 26 - AIFs and Portfolio Management Services

VISUAL FIRST

AIF: PRIVATE POOL -> units/interests -> category mandate -> common portfolio
PMS: CLIENT MANDATE -> portfolio manager -> client-specific securities/account

AIF categories:

I developmental/venture types | II residual private funds | III complex/leverage

Visual reading: Category I includes specified socially or economically desirable strategies such as venture capital and infrastructure; Category II covers funds not falling in I or III and ordinarily avoids leverage beyond permitted temporary needs; Category III may use complex strategies and leverage. PMS preserves client-level portfolio ownership and reporting.

DEFINITION

An Alternative Investment Fund is a privately pooled vehicle under SEBI's category framework; Portfolio Management Services manage securities or funds for a client under an individual mandate.

ANSWER-GRABBING LINE: AIF, PMS, mutual fund and direct security are legally and operationally different wrappers.

MUST-WRITE KEYWORDS: AIF, Category I, Category II, Category III, venture capital, hedge fund, PMS, private pool.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Pooling, investor eligibility, liquidity and leverage permissions shape the protection model.
- **Named evidence:** SEBI's AIF Master Circular dated 3 June 2026 and Portfolio Managers Master Circular dated 16 July 2025 provide current framework anchors.
- **Analysis:** Private-market sophistication and disclosure do not eliminate valuation opacity, concentration or illiquidity.
- **Qualification / demand link:** Direct bonds and listed stocks are assets, not AIF categories; hedge funds and venture-capital funds are vehicles.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's AIF Master Circular dated 3 June 2026 and Portfolio Managers Master Circular dated 16 July 2025 provide current framework anchors.
- **Analytical inference:** Private-market sophistication and disclosure do not eliminate valuation opacity, concentration or illiquidity.

PRELIMS TRAP

PMS is not a mutual-fund unit and does not guarantee customised outperformance.

MAINS USE

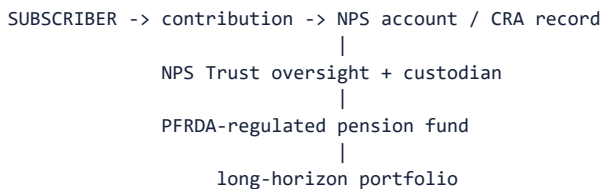
Use the legal wrapper before discussing the underlying portfolio.

MINI RECAP

- AIF is a private pool.
- PMS is client-specific.
- Underlying assets are not the vehicle itself.

CORE SESSION 27 - NPS and pension-fund boundary

VISUAL FIRST



PENSION PRODUCT != mutual fund != assured pension

Visual reading: PFRDA regulates; NPS Trust protects subscriber interests; pension funds manage assets; the Central Recordkeeping Agency maintains accounts; Points of Presence service subscribers; the custodian holds securities.

DEFINITION

The National Pension System is a regulated defined-contribution retirement architecture in which accumulated outcomes depend on contributions, investment performance and withdrawal/annuity rules.

ANSWER-GRABBING LINE: NPS is a pension system with specialised intermediaries, not merely another mutual-fund category.

MUST-WRITE KEYWORDS: NPS, PFRDA, NPS Trust, pension fund, CRA, PoP, custodian, defined contribution.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Institutional separation supports long-horizon fiduciary control and record integrity.
- **Named evidence:** PFRDA's investment-guideline Master Circular dated 18 August 2023 and current NPS architecture pages provide the official framework.
- **Analysis:** Market-linked accumulation creates equity, interest-rate, credit and longevity-related planning risk; exact allocation and fee rules should be checked at the transaction date.
- **Qualification / demand link:** Defined contribution does not guarantee a pre-announced pension.

EVIDENCE AND INFERENCE

- **Fact/evidence:** PFRDA's investment-guideline Master Circular dated 18 August 2023 and current NPS architecture pages provide the official framework.
- **Analytical inference:** Market-linked accumulation creates equity, interest-rate, credit and longevity-related planning risk; exact allocation and fee rules should be checked at the transaction date.

PRELIMS TRAP

Do not conflate PFRDA regulation with SEBI mutual-fund regulation.

MAINS USE

Use NPS only as a bounded comparison of pooled long-term retirement finance.

MINI RECAP

- PFRDA is regulator.
- CRA keeps records.
- Pension funds manage assets.

CORE SESSION 28 - IFSCA and jurisdiction

VISUAL FIRST

DOMESTIC INDIA

SEBI: securities/funds
RBI: rate/FX/G-Sec functions
PFRDA: pensions

INTERNATIONAL FINANCIAL SERVICES CENTRE

IFSCA: unified IFSC market regulator
exchanges, intermediaries, FMEs in IFSC

PRODUCT + LOCATION + ACTIVITY -> regulator

Visual reading: An offshore-oriented fund or derivative arranged in GIFT IFSC can fall under IFSCA's framework, whereas a domestic mutual fund falls under SEBI and NPS under PFRDA. RBI retains specified currency and rate mandates under its statutes.

DEFINITION

IFSCA is the unified regulator for financial products, services and institutions in India's International Financial Services Centres, while domestic markets retain SEBI, RBI and PFRDA mandates.

ANSWER-GRABBING LINE: Jurisdiction follows legal location and activity, not the product name alone.

MUST-WRITE KEYWORDS: IFSCA, IFSC, GIFT City, FME, SEBI, RBI, PFRDA, regulatory perimeter.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A unified IFSC regulator reduces domestic inter-agency fragmentation within that jurisdiction.
- **Named evidence:** IFSCA Fund Management Regulations were notified on 19 February 2025; Capital Market Intermediaries Regulations, 2025 structure relevant IFSC intermediaries.
- **Analysis:** Cross-border transactions can still engage tax, foreign-exchange and home-regulator rules beyond IFSCA registration.
- **Qualification / demand link:** GIFT City is a location; it does not make every product foreign, tax-free or risk-free.

EVIDENCE AND INFERENCE

- **Fact/evidence:** IFSCA Fund Management Regulations were notified on 19 February 2025; Capital Market Intermediaries Regulations, 2025 structure relevant IFSC intermediaries.
- **Analytical inference:** Cross-border transactions can still engage tax, foreign-exchange and home-regulator rules beyond IFSCA registration.

PRELIMS TRAP

Map product, entity, location and activity before naming the regulator.

MAINS USE

Use the four-part product-entity-location-activity test to solve jurisdiction questions.

MINI RECAP

- SEBI/RBI/PFRDA lead domestic functions.
- IFSCA leads IFSC functions.
- Cross-border overlap remains.

CORE SESSION 29 - Market abuse, insider trading and manipulation

VISUAL FIRST

INFORMATION / ORDER / PRICE

- +-- UPSI misuse -> insider trading
- +-- false appearance / deceptive order -> manipulation
- +-- false statement / scheme -> fraud or unfair practice
- `-- undisclosed conflict / unregistered advice -> conduct breach

DETECTION -> surveillance -> investigation -> order -> appeal/remedy

Visual reading: Insider-trading rules address trading while in possession of unpublished price-sensitive information and require codes/disclosures. PFUTP rules address fraudulent or unfair practices, including manipulative transactions. Exchanges monitor patterns; SEBI investigates and enforces.

DEFINITION

Market abuse uses information, orders, transactions or representations unfairly to obtain advantage or create a false market.

ANSWER-GRABBING LINE: Market integrity protects the information content of prices, not merely individual compensation after loss.

MUST-WRITE KEYWORDS: UPSI, insider trading, front running, manipulation, PFUTP, surveillance, disclosure, conflict.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Abuse distorts allocation because observed price and volume stop reflecting genuine information and demand.
- **Named evidence:** SEBI Insider Trading Regulations were amended through 12 March 2025; PFUTP Regulations through 5 December 2025.
- **Analysis:** Surveillance indicators justify investigation, not automatic guilt; due process and evidence remain necessary.
- **Qualification / demand link:** High volume, price rise or profit alone does not prove manipulation.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI Insider Trading Regulations were amended through 12 March 2025; PFUTP Regulations through 5 December 2025.
- **Analytical inference:** Surveillance indicators justify investigation, not automatic guilt; due process and evidence remain necessary.

PRELIMS TRAP

Unregistered tips are not protected merely because they appear on social media.

MAINS USE

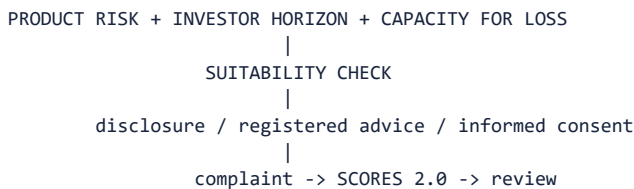
Link clean prices, disclosure and enforcement to capital formation.

MINI RECAP

- UPSI misuse differs from manipulation.
- PFUTP targets deceptive conduct.
- Surveillance is evidence-led.

CORE SESSION 30 - Suitability, advice and investor grievance

VISUAL FIRST



Visual reading: Registered advisers and research analysts face SEBI conduct rules, while distributors and execution platforms have distinct roles. SCORES 2.0, announced 1 April 2024, added automated routing, escalation and review for grievances.

DEFINITION

Suitability asks whether product complexity, liquidity and potential loss fit an investor's objective and capacity; disclosure merely supplies information.

ANSWER-GRABBING LINE: Access plus disclosure is insufficient when complexity or incentives defeat informed choice.

MUST-WRITE KEYWORDS: suitability, appropriateness, investment adviser, research analyst, mis-selling, SCORES 2.0, grievance.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Suitability converts formal transparency into investor-specific protection.
- **Named evidence:** SEBI's adviser/analyst frameworks, risk disclosures and SCORES grievance system provide institutional evidence.
- **Analysis:** No grievance mechanism can guarantee investment return or reverse every market loss; it addresses service and conduct failures.
- **Qualification / demand link:** A disclaimer cannot cure fraud, conflict or unsuitable recommendation.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's adviser/analyst frameworks, risk disclosures and SCORES grievance system provide institutional evidence.
- **Analytical inference:** No grievance mechanism can guarantee investment return or reverse every market loss; it addresses service and conduct failures.

PRELIMS TRAP

Registration is not an endorsement of performance.

MAINS USE

Use disclosure, incentive alignment, suitability and remedy as separate safeguards.

MINI RECAP

- Disclosure informs.
- Suitability matches.
- Grievance systems provide remedy.

CORE SESSION 31 - Leverage, liquidity mismatch and systemic risk

VISUAL FIRST

SMALL CAPITAL -> LARGE NOTIONAL / ILLIQUID ASSET

|
price shock -> margin call / redemption

|
forced sale -> lower price -> wider haircut

|
more margin / redemption -> contagion

FIRE-SALE LOOP links market, funding and operational risk

Visual reading: Derivatives can create large notional exposure relative to posted margin. Open-ended funds promising redemption may hold less-liquid assets. Price declines then trigger margin calls or redemptions, causing sales that depress prices and raise haircuts.

DEFINITION

Systemic market risk arises when leverage, common positions, liquidity promises and infrastructure concentration make individual adjustment mutually destabilising.

ANSWER-GRABBING LINE: Diversification within funds reduces idiosyncratic risk but cannot neutralise a common liquidity or leverage shock.

MUST-WRITE KEYWORDS: leverage, liquidity mismatch, margin spiral, fire sale, common exposure, contagion, procyclicality.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Private risk management can become collectively procyclical.
- **Named evidence:** SEBI's derivative safeguards, mutual-fund liquidity controls and stress testing, and RBI's OTC margin directions address different links in the loop.
- **Analysis:** CCPs and liquid assets absorb shocks but can concentrate demands; rigid fire sales can defeat individual prudence.
- **Qualification / demand link:** Diversification by number of securities is not diversification of liquidity, factor or counterparty risk.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's derivative safeguards, mutual-fund liquidity controls and stress testing, and RBI's OTC margin directions address different links in the loop.
- **Analytical inference:** CCPs and liquid assets absorb shocks but can concentrate demands; rigid fire sales can defeat individual prudence.

PRELIMS TRAP

Daily liquidity should not be promised against structurally untradeable assets without controls.

MAINS USE

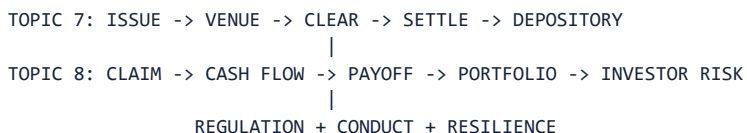
Conclude with leverage monitoring, liquidity tools, margin design and resolution planning.

MINI RECAP

- Leverage amplifies.
- Mismatch triggers runs.
- Fire sales transmit shocks.

CORE SESSION 32 - Topic 7 cross-link and complete synthesis

VISUAL FIRST



Plumbing enables products; products create exposures.

Visual reading: A bond or fund begins with issuance, trades through a venue, clears and settles through infrastructure, and remains recorded in custody. Topic 8 then asks what cash flows, optionality, leverage and liquidity promise the product creates.

DEFINITION

Topic 7 explains market architecture and cash instruments; Topic 8 explains security design, derivative payoff, pooled vehicles and investor/systemic risk.

ANSWER-GRABBING LINE: A complete answer joins legal claim, valuation, transaction infrastructure and regulatory perimeter without duplicating either topic.

MUST-WRITE KEYWORDS: primary market, secondary market, demat, clearing, product design, portfolio, jurisdiction, boundary.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Market plumbing and product economics are complementary analytical layers.
- **Named evidence:** Topic 7's dated T+1/optional T+0 and depository map provide the cross-link; Topic 8 adds derivative and fund regulation.
- **Analysis:** Efficient settlement cannot make an unsuitable or overleveraged product safe, while sound product design cannot survive failed settlement.
- **Qualification / demand link:** Do not repeat Topic 7's full auction and infrastructure detail or Topic 9's fiscal-policy analysis.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Topic 7's dated T+1/optional T+0 and depository map provide the cross-link; Topic 8 adds derivative and fund regulation.
- **Analytical inference:** Efficient settlement cannot make an unsuitable or overleveraged product safe, while sound product design cannot survive failed settlement.

PRELIMS TRAP

Topic 8 owns derivatives and funds; Topic 7 owns their execution and settlement backbone.

MAINS USE

Use the synthesis chain as the final Mains conclusion.

MINI RECAP

- Identify claim.
- Trace payoff and liquidity.
- Name regulator and infrastructure.

Exactly 32 original questions follow. Correct options rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement most accurately distinguishes a bond from an ordinary equity share?

- A. A bond is a creditor claim with contractual payments; equity is a residual ownership claim
- B. Both are ownership claims with identical voting rights
- C. Equity promises principal repayment at a fixed maturity
- D. A bondholder is always paid in full before every other claimant

Answer: A.

Option-specific explanations:

- **A - Correct:** Debt-equity classification begins with legal claim, payment obligation and residual status.
- **B - Incorrect:** Bondholders are creditors and ordinarily do not possess the voting position of ordinary shareholders.
- **C - Incorrect:** Ordinary equity has no contractual maturity or promised redemption of principal.
- **D - Incorrect:** Priority is relative and actual recovery depends on security, seniority, assets and insolvency law.

Examiner trap 1: Do not convert relative repayment priority into a guarantee of full recovery.

MCQ 2

Consider the following statements:

1. A secured bond has recourse to specified collateral.
2. A subordinated bond ranks behind senior debt.
3. Every listed bond is sovereign-guaranteed.

Which statements are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 also correctly identifies the lower priority of subordinated debt.
- **B - Correct:** Security and seniority are separate dimensions, and neither listing nor rating assures repayment.
- **C - Incorrect:** Statement 1 is correct, while exchange listing does not create a sovereign guarantee.
- **D - Incorrect:** The first two are contractual distinctions; statement 3 invents a guarantee unrelated to listing.

Examiner trap 2: Listed, secured, senior and guaranteed are four different attributes.

MCQ 3

A bond's coupon rate is best defined as:

- A. Annual coupon divided by current market price
- B. The discount rate equating all cash flows with current price
- C. Annual contractual coupon divided by face value
- D. The bond's annual capital gain divided by issue price

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That calculation is current yield rather than coupon rate.
- **B - Incorrect:** That is yield to maturity under its assumptions.
- **C - Correct:** The coupon rate is written into the contract against face value and can differ from market-based yields.
- **D - Incorrect:** Capital gain is not the contractual coupon calculation.

Examiner trap 3: Coupon rate does not automatically equal current yield or realised return.

MCQ 4

Why does the market price of a plain fixed-coupon bond generally fall when required yield rises?

- A. The issuer automatically cuts the printed coupon
- B. The bond's face value rises above redemption value
- C. Every rise in yield proves immediate issuer default
- D. A higher discount rate lowers the present value of fixed promised cash flows

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A fixed coupon does not reset merely because market yields move.
- **B - Incorrect:** Face and redemption terms ordinarily remain contractual constants.
- **C - Incorrect:** Interest-rate repricing can occur without a change in creditworthiness.
- **D - Correct:** Present-value discounting produces the inverse relationship for fixed cash flows.

Examiner trap 4: A yield move can reflect benchmark rates, credit spreads or liquidity; identify the driver.

MCQ 5

A bond pays an annual coupon of Rs 8 and trades at Rs 80. Its current yield is:

- A. 10 per cent
- B. 8 per cent
- C. 12.5 per cent
- D. Impossible without knowing maturity

Answer: A.

Option-specific explanations:

- **A - Correct:** Current yield equals 8 divided by 80 multiplied by 100.
- **B - Incorrect:** Eight per cent would be the coupon rate if face value were Rs 100.
- **C - Incorrect:** This reverses the numerator and denominator of the current-yield formula.
- **D - Incorrect:** Maturity is required for YTM but not for annual coupon divided by market price.

Examiner trap 5: Current yield omits redemption gain or loss and reinvestment.

MCQ 6

Which statement about duration is correct?

1. Modified duration approximates percentage price sensitivity to a small yield change.
 2. Longer duration generally means greater interest-rate sensitivity.
 3. Duration is the probability of issuer default.
- A. 1 only
 - B. 1 and 2 only
 - C. 2 and 3 only
 - D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 follows directly from duration as a sensitivity measure.
- **B - Correct:** Duration measures cash-flow timing and local price sensitivity, while convexity refines the estimate.
- **C - Incorrect:** Statement 3 confuses market-rate sensitivity with credit analysis.
- **D - Incorrect:** The first two are correct; duration does not estimate default probability.

Examiner trap 6: Maturity and duration are related but not identical.

MCQ 7

Which risk arises when coupon cash flows must be reinvested at an uncertain future rate?

- A. Settlement principal risk
- B. Dilution risk
- C. Reinvestment risk
- D. Custody risk

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That concerns one transaction leg completing without the other.
- **B - Incorrect:** Dilution concerns an expanding equity base or conversion into shares.
- **C - Correct:** Reinvestment risk changes the realised compound return even when promised coupons are paid.
- **D - Incorrect:** Custody risk concerns safekeeping and ownership records, not future coupon rates.

Examiner trap 7: Falling rates can raise bond prices while lowering reinvestment income.

MCQ 8

A zero-coupon bond ordinarily:

- A. Resets its coupon periodically to a benchmark
- B. Pays inflation compensation every month
- C. Allows the holder to demand early redemption in every case
- D. Makes no periodic coupon payment and is issued below redemption value

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That describes a floating-rate bond.
- **B - Incorrect:** Inflation indexation is a separate cash-flow feature.
- **C - Incorrect:** A put right must be expressly embedded in the contract.
- **D - Correct:** The investor's return arises from the discount-to-redemption difference, subject to credit and market risk.

Examiner trap 8: Zero coupon does not mean zero yield or zero duration.

MCQ 9

A floating-rate bond most directly reduces:

- A. Fixed-coupon price sensitivity around its reset dates
- B. All default risk of the issuer
- C. All basis risk
- D. All inflation risk for every investor

Answer: A.

Option-specific explanations:

- **A - Correct:** Periodic benchmark resets pull the coupon toward market conditions, though spread and reset risks remain.
- **B - Incorrect:** Coupon reset cannot restore an insolvent issuer's capacity.
- **C - Incorrect:** The bond may reset against a benchmark different from the investor's liability exposure.
- **D - Incorrect:** A floating benchmark is not necessarily the investor's inflation index.

Examiner trap 9: Floating rate is not fixed purchasing-power protection.

MCQ 10

Inflation-indexed bonds are designed primarily to:

- A. Guarantee a positive after-tax real return
- B. Link specified principal or coupon cash flows to a stated inflation index
- C. Eliminate issuer credit risk
- D. Convert debt automatically into equity

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Tax, price, liquidity and indexation-lag effects can still reduce realised return.
- **B - Correct:** Indexation reallocates measured-inflation risk according to the contract.
- **C - Incorrect:** Indexation changes purchasing-power exposure, not the issuer's ability to pay.
- **D - Incorrect:** Conversion is a separate embedded option.

Examiner trap 10: Protection is only as broad as the indexed component and chosen price index.

MCQ 11

Which option is correctly matched?

- A. Puttable bond - issuer alone can force early redemption
- B. Convertible bond - investor can never become a shareholder
- C. Callable bond - issuer may redeem early under stated terms
- D. Callable bond - investor is guaranteed reinvestment at the old coupon

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A put right belongs to the investor, not the issuer.
- **B - Incorrect:** Conversion is precisely the contractual route from debt into equity.
- **C - Correct:** The issuer owns the call; the investor owns the put; conversion changes the claim.
- **D - Incorrect:** Calling often exposes the investor to lower-rate reinvestment risk.

Examiner trap 11: Optional exercise depends on the contract and should not be assumed automatic.

MCQ 12

Why may a convertible bond carry a lower coupon than an otherwise similar plain bond?

- A. Conversion removes all issuer default risk
- B. It is always secured by the issuer's shares
- C. The coupon is paid by the stock exchange
- D. The conversion option gives the investor potential equity upside

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Before conversion the instrument retains issuer credit exposure.
- **B - Incorrect:** Convertibility does not itself create collateral.
- **C - Incorrect:** The issuer remains responsible for contractual bond payments.
- **D - Correct:** The investor may accept less coupon in exchange for the embedded option's value.

Examiner trap 12: Convertible means eligible to convert under terms, not already converted.

MCQ 13

The defining characteristic of a Masala bond is that it is:

- A. Rupee-denominated debt issued overseas by an eligible Indian entity
- B. Foreign-currency debt issued only within India
- C. A Government of India inflation-indexed security
- D. A green bond certified by SEBI

Answer: A.

Option-specific explanations:

- **A - Correct:** Rupee denomination places direct INR currency movement on the overseas investor.
- **B - Incorrect:** That reverses both denomination and issuance location.
- **C - Incorrect:** Masala bonds are an external-borrowing category, not necessarily sovereign or indexed.
- **D - Incorrect:** Use of proceeds and currency denomination are independent features.

Examiner trap 13: Current ECB eligibility and maturity rules must be checked rather than inferred from the nickname.

MCQ 14

Consider the following statements about a listed green debt security:

1. Its proceeds are linked to eligible environmental purposes.
2. Additional allocation and impact disclosures address greenwashing.
3. Its label guarantees repayment.

Which statements are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 reflects the disclosure and reporting logic of SEBI's green-debt framework.
- **B - Correct:** SEBI's 6 February 2023 framework links the label to use, tracking and disclosure of proceeds.
- **C - Incorrect:** Statement 1 defines the use-of-proceeds character, while statement 3 is false.
- **D - Incorrect:** A green label does not improve issuer solvency or create a repayment guarantee.

Examiner trap 14: Environmental integrity and credit quality are separate tests.

MCQ 15

Which return to an ordinary equity shareholder is contractual in the same way as bond interest?

- A. Dividend declared for every profitable year
- B. A minimum annual capital gain
- C. None; dividend and capital gain are not contractually fixed
- D. Repayment of issue price on a fixed maturity date

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Profit does not automatically require a dividend declaration.
- **B - Incorrect:** Market price can rise or fall and no minimum gain is promised.
- **C - Correct:** Equity is a residual claim; its return depends on enterprise performance, payout and market valuation.
- **D - Incorrect:** Ordinary shares have no bond-like maturity redemption.

Examiner trap 15: Ownership gives residual upside but not a promised periodic payment.

MCQ 16

A company's share price is Rs 50 and it has 20 crore shares outstanding. Its market capitalisation is:

- A. Rs 2.5 crore
- B. Rs 70 crore
- C. Cannot be calculated without EPS
- D. Rs 1,000 crore

Answer: D.

Option-specific explanations:

- **A - Incorrect:** This divides rather than multiplies price by shares.
- **B - Incorrect:** Adding price and share count has no valuation meaning.
- **C - Incorrect:** Market capitalisation needs price and shares outstanding, not earnings.
- **D - Correct:** Market capitalisation equals 50 multiplied by 20 crore shares.

Examiner trap 16: A stock split can change price and share count without mechanically changing total market value.

MCQ 17

Earnings per share should ordinarily use:

- A. Profit attributable to ordinary equity divided by weighted-average ordinary shares
- B. Revenue divided by closing share price
- C. Dividend divided by face value
- D. Market capitalisation divided by book debt

Answer: A.

Option-specific explanations:

- **A - Correct:** Weighted-average shares account for changes in the equity base during the reporting period.
- **B - Incorrect:** Revenue and market price do not define accounting earnings per share.
- **C - Incorrect:** That resembles a dividend-rate calculation, not EPS.
- **D - Incorrect:** This ratio does not allocate profit across shares.

Examiner trap 17: Basic and diluted EPS can differ because potential shares affect the denominator.

MCQ 18

A low P-E ratio by itself proves that a share is undervalued. This statement is:

- A. Correct because price alone determines intrinsic value
- B. Incorrect because earnings quality, cyclical, growth and risk also matter
- C. Correct whenever dividend yield is positive
- D. Incorrect only for government companies

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Price must be assessed against sustainable cash flow, assets, growth and risk.
- **B - Correct:** P-E is a comparison lens rather than an automatic investment conclusion.
- **C - Incorrect:** Dividend policy does not validate the earnings multiple.
- **D - Incorrect:** The limitation applies across ownership forms and sectors.

Examiner trap 18: Negative or temporarily inflated earnings can make P-E misleading.

MCQ 19

Which statement about preference shares is correct?

1. They carry preferential dividend and capital-repayment rights over ordinary equity.
 2. They are legally share capital.
 3. They always rank ahead of secured creditors.
- A. 1 only
 - B. 2 and 3 only
 - C. 1 and 2 only
 - D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Statement 2 is also correct despite debt-like economic features.
- **B - Incorrect:** Statement 1 is correct, while creditor priority ordinarily precedes preference capital.
- **C - Correct:** Preference shares combine preferential economic rights with legal equity status.
- **D - Incorrect:** Statement 3 wrongly places share capital above secured creditor claims.

Examiner trap 19: Fixed-looking preference dividends do not automatically make the instrument a bond.

MCQ 20

A derivative's value is derived primarily from:

- A. The face value of the issuer's ordinary shares only
- B. The amount of margin posted only
- C. A guaranteed return set by the regulator
- D. An underlying asset, rate, index or event specified in the contract

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Derivatives can reference rates, currencies, commodities and indices as well as shares.
- **B - Incorrect:** Margin supports performance but does not define the underlying payoff.
- **C - Incorrect:** Regulators set conduct and risk controls, not guaranteed derivative profit.
- **D - Correct:** The contract maps changes in an underlying into gains, losses or cash-flow exchanges.

Examiner trap 20: Notional exposure can be much larger than initial cash paid.

MCQ 21

Which statement correctly distinguishes futures from forwards?

- A. Futures are standardised and exchange-cleared; forwards are generally customised OTC contracts
- B. Only forwards create obligations for both sides
- C. Futures have no counterparty-risk controls
- D. Forwards are necessarily illegal in India

Answer: A.

Option-specific explanations:

- **A - Correct:** Venue and standardisation alter liquidity, margining and counterparty structure.
- **B - Incorrect:** Both forwards and futures create symmetric obligations.
- **C - Incorrect:** Margins, mark-to-market and CCP clearing are core controls.
- **D - Incorrect:** Specified OTC forwards operate under regulatory frameworks.

Examiner trap 21: Customisation can reduce basis risk while increasing bilateral complexity.

MCQ 22

A call-option buyer has the right to:

- A. Sell the underlying at the strike
- B. Buy the underlying at the strike under the contract's terms
- C. Receive every gain without paying a premium
- D. Force the writer to exercise against the buyer

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That is the right provided by a put option.
- **B - Correct:** A long call's intrinsic value is positive when spot exceeds strike.
- **C - Incorrect:** The option premium affects net payoff and break-even.
- **D - Incorrect:** Exercise choice belongs to the buyer, not the writer.

Examiner trap 22: The buyer's limited premium loss does not apply to an uncovered writer.

MCQ 23

A put-option buyer's payoff before premium is best represented by:

- A. Maximum of spot minus strike and zero
- B. Spot plus strike in every state
- C. Maximum of strike minus spot and zero
- D. The option premium multiplied by the notional

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That is the intrinsic payoff of a call buyer.
- **B - Incorrect:** Option payoff is contingent, not a simple sum.
- **C - Correct:** A put protects against price falling below strike, with net profit reduced by premium.
- **D - Incorrect:** Premium is cost, not the intrinsic payoff formula.

Examiner trap 23: Strike is not break-even because premium must be recovered.

MCQ 24

An interest-rate swap commonly involves:

- A. Automatic transfer of ownership in the underlying loan
- B. Issue of ordinary shares by both counterparties
- C. Guaranteed elimination of all basis and counterparty risk
- D. Exchange of fixed and floating interest cash-flow streams on a reference notional

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The original financing can remain in place while exposure is transformed.
- **B - Incorrect:** A swap is a derivative contract, not reciprocal equity issuance.
- **C - Incorrect:** Benchmark mismatch and default exposure can remain.
- **D - Correct:** The notional commonly calculates payments and need not itself be exchanged.

Examiner trap 24: Do not confuse a derivative swap with a central-bank currency swap line.

MCQ 25

Which activity is a hedge?

- A. An exporter sells future dollars to offset a known dollar receivable
- B. A trader without exposure sells index futures to profit from a fall
- C. An investor buys unrelated options because volatility may rise
- D. A broker circulates matched orders to create false volume

Answer: A.

Option-specific explanations:

- **A - Correct:** The derivative offsets a pre-existing currency exposure in amount and direction.
- **B - Incorrect:** That creates a directional speculative position.
- **C - Incorrect:** Without an offsetting exposure this is speculation.
- **D - Incorrect:** That is manipulative conduct, not risk reduction.

Examiner trap 25: A mismatched tenor or quantity leaves basis or over-hedging risk.

MCQ 26

Consider the following sequence:

1. Adverse price movement
2. Variation-margin call
3. Forced sale to raise cash
4. Further price pressure

This sequence illustrates:

- A. Guaranteed arbitrage convergence
- B. A margin-liquidity spiral
- C. Elimination of leverage
- D. A passive index-rebalancing rule only

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Forced sales can widen dislocation rather than assure immediate convergence.
- **B - Correct:** Mark-to-market converts price volatility into current funding needs and can amplify fire sales.
- **C - Incorrect:** The sequence shows leverage transmitting stress.

- **D - Incorrect:** Margin calls can affect many leveraged portfolios, not only index funds.

Examiner trap 26: Margin reduces counterparty exposure but does not eliminate systemic liquidity risk.

MCQ 27

Which statement about exchange-traded and OTC derivatives is correct?

- A. Every electronic contract is exchange-traded
- B. Exchange trading eliminates leverage and basis risk
- C. OTC contracts can be regulated, reported, margined and sometimes centrally cleared
- D. OTC contracts can never be customised

Answer: C.

Option-specific explanations:

- **A - Incorrect:** An electronic trading platform can support an OTC market.
- **B - Incorrect:** Standardisation and CCP controls do not abolish economic exposure.
- **C - Correct:** OTC describes the execution/legal structure, not absence of regulation.
- **D - Incorrect:** Customisation is a principal OTC feature.

Examiner trap 27: Compare venue, standardisation, collateral, reporting and exit separately.

MCQ 28

A mutual fund's NAV per unit is broadly:

- A. Market price multiplied by trading volume
- B. Annual return divided by expense ratio
- C. Coupon income divided by face value
- D. Scheme assets minus liabilities, divided by units outstanding

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That does not calculate a pooled portfolio's per-unit net assets.
- **B - Incorrect:** Performance and cost do not replace balance-sheet valuation.
- **C - Incorrect:** That is unrelated to the fund's total net assets and unit base.
- **D - Correct:** NAV allocates the scheme's net assets across outstanding units.

Examiner trap 28: ETF exchange price can trade above or below its contemporaneous NAV.

MCQ 29

Match the mutual-fund classification:

1. Open-ended - continuous purchase/redemption under scheme rules
2. Passive - seeks to track a benchmark
3. ETF - trades intraday on an exchange

Which is correct?

- A. 1, 2 and 3
- B. 1 only
- C. 1 and 2 only
- D. 2 and 3 only

Answer: A.

Option-specific explanations:

- **A - Correct:** All three are correct and should not be collapsed into a single category.

- **B - Incorrect:** The passive and ETF descriptions are also correct but refer to different classification axes.
- **C - Incorrect:** ETF exchange trading is the defining feature omitted by this option.
- **D - Incorrect:** Open-ended funds do permit continuing transactions under applicable NAV rules.

Examiner trap 29: An ETF may be passive, but ETF and index fund are not identical transaction structures.

MCQ 30

Which statement about direct and regular plans is correct?

- A. A direct plan gives the investor legal ownership of each portfolio security
- B. They normally share a scheme portfolio but differ in distribution cost and therefore expense ratio/NAV
- C. A regular plan guarantees adviser suitability
- D. Direct plans are exempt from the Riskometer

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The investor still owns mutual-fund units rather than individual securities.
- **B - Correct:** The direct plan excludes distributor commission from its plan expenses, while the regular route includes it.
- **C - Incorrect:** Distributor involvement does not guarantee product fit or return.
- **D - Incorrect:** Risk disclosure applies to the scheme regardless of distribution route.

Examiner trap 30: Lower expense does not make an unsuitable asset class suitable.

MCQ 31

Which comparison is most accurate?

- A. All four are ordinary open-ended mutual funds
- B. PMS issues identical pooled units to every client
- C. A REIT pools real-estate exposure, an InvIT pools infrastructure exposure, an AIF is a private pool, and PMS is client-specific management
- D. Direct stocks and bonds are themselves Category III AIFs

Answer: C.

Option-specific explanations:

- **A - Incorrect:** They operate under different legal and regulatory wrappers.
- **B - Incorrect:** PMS ordinarily manages a client-specific portfolio and reporting relationship.
- **C - Correct:** Asset base, pooling, ownership record, liquidity and investor-protection framework distinguish the vehicles.
- **D - Incorrect:** Underlying securities are not transformed into pooled vehicles by classification.

Examiner trap 31: Do not infer tax treatment or guaranteed distributions from the product label.

MCQ 32

Consider the following regulatory map:

1. SEBI - domestic listed securities, mutual funds and AIFs
2. RBI - specified OTC interest-rate and foreign-exchange derivatives
3. PFRDA - National Pension System
4. IFSCA - financial products and institutions in an IFSC

Which option is correct?

- A. 1 and 2 only
- B. 1, 3 and 4 only

- C. 2, 3 and 4 only
- D. 1, 2, 3 and 4

Answer: D.

Option-specific explanations:

- **A - Incorrect:** PFRDA and IFSCA also have the stated specialised jurisdictions.
- **B - Incorrect:** RBI's functional perimeter includes specified OTC rate and currency derivatives.
- **C - Incorrect:** SEBI is the principal domestic securities and fund-market regulator.
- **D - Correct:** All four matches are correct, subject to statutory overlap and cross-border coordination.

Examiner trap 32: Regulator mapping follows product, activity, entity and location rather than one universal label.

PYQS AND ANSWER PRACTICE

Official-key discipline

- The three 2025 questions reproduce the locally held official-paper wording and Set-A keys.
- The 2026 route has only a provisional local key and therefore receives no answer letter.
- Five historical routes reproduce only the audited neutral demand because their official keys and exact option text are unavailable locally.

PYQ 1 - UPSC Prelims 2025, Q1

Question: With reference to investments, consider the following:

- I. Bonds
- II. Hedge Funds
- III. Stocks
- IV. Venture Capital

How many of the above are treated as Alternative Investment Funds?

- (a) Only one
- (b) Only two
- (c) Only three
- (d) All the four

Official Set-A answer: (b) Only two.

Solution: Hedge funds fall within Category III AIFs and venture-capital funds within Category I. Bonds and stocks are direct securities, not pooled vehicles. The examiner's trap is to confuse assets that a fund may hold with the legal wrapper through which investors pool capital.

PYQ 2 - UPSC Prelims 2025, Q7

Question: Consider the following statements:

Statement I: As regards returns from an investment in a company, generally, bondholders are considered to be relatively at lower risk than stockholders.

Statement II: Bondholders are lenders to a company whereas stockholders are its owners.

Statement III: For repayment purpose, bondholders are prioritized over stockholders by a company.

Which one of the following is correct in respect of the above statements?

- (a) Both Statement II and Statement III are correct and both of them explain Statement I
- (b) Both Statement I and Statement II are correct and Statement I explains Statement II
- (c) Only one of the Statements II and III is correct and that explains Statement I
- (d) Neither Statement II nor Statement III is correct

Official Set-A answer: (a).

Solution: Bondholders are creditors with contractual claims and generally rank before residual shareholders. Those features explain the relative-risk statement. Relatively lower risk is not risk-free: default, interest-rate, liquidity and inflation risks can still impose loss.

PYQ 3 - UPSC Prelims 2025, Q8

Question: Consider the following statements:

- I. India accounts for a very large portion of all equity option contracts traded globally thus exhibiting a great boom.
- II. India's stock market has grown rapidly in the recent past even overtaking Hong Kong's at some point of time.
- III. There is no regulatory body either to warn the small investors about the risks of options trading or to act on unregistered financial advisors in this regard.

Which of the statements given above are correct?

- (a) I and II only
- (b) II and III only
- (c) I and III only
- (d) I, II and III

Official Set-A answer: (a) I and II only.

Solution: Follow the official key. Statement III is false because SEBI regulates the securities derivatives market, issues risk disclosures and acts within its adviser and market-conduct frameworks. Do not freeze the question's market-volume ranking as a permanent statistic; the durable concept is that rapid retail derivatives growth triggered stronger investor-protection and stability measures.

Routed PYQ 4 - UPSC Prelims 2026, Q90

Neutral demand: Real-world asset tokenisation using blockchain and investment access.

Answer withheld pending official UPSC key.

Route: Tokenisation can fractionalise or transfer a representation of an underlying claim, but legal title, custody, redemption, disclosure, settlement finality and regulatory perimeter remain decisive. The provisional local key is not represented as official.

Historical routed demands - official keys unavailable locally

Year and question	Neutral routed demand	Answer status	Learning route
2019 Q67	Participatory Notes issued to overseas stock-market investors	Answer withheld pending official UPSC key.	Offshore instrument issued by a registered FPI; not direct domestic ownership
2022 Q5	Inflation-Indexed Bond features and investor benefits	Answer withheld pending official UPSC key.	Session 6; index link and limitations
2022 Q65	Convertible-bond interest and equity-conversion features	Answer withheld pending official UPSC key.	Session 7; debt plus embedded equity option
2023 Q21	InvIT tax treatment and SARFAESI comparison	Answer withheld pending official UPSC key.	Session 24; vehicle classification before tax/recovery law
2023 Q73	Beta as stock-market volatility measure	Answer withheld pending official UPSC key.	Optional Advanced; relative market sensitivity, not return

ORIGINAL MAINS PRACTICE AND MODEL ANSWERS

Counts cover only each isolated answer body using the native alphanumeric-token regex.

M1 - 10 marks - 150 words

Question: Why can a bond generate loss even when its issuer makes every promised payment?

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (132 native-body words):

A bond's contractual performance does not fix its resale value or realised return. When market yields rise, the present value of fixed coupons and principal falls, producing a mark-to-market loss. Longer duration increases this sensitivity. A widening liquidity premium can force a larger price concession even without deterioration in issuer solvency.

Reinvestment risk works differently: coupons received during the holding period may be reinvested at lower rates. Inflation can erode the purchasing power of nominal payments. Callable bonds can be redeemed when rates fall, removing upside and forcing reinvestment. Foreign-currency exposure can change the investor's home-currency return.

Thus credit risk is only one component. An investor should distinguish default, interest-rate, duration, liquidity, reinvestment, inflation, optionality and currency risks. Fixed income describes the cash-flow rule, not a guaranteed market price or real return.

M2 - 10 marks - 150 words

Question: Distinguish hedging, speculation and arbitrage in derivatives markets.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (146 native-body words):

Hedging uses a derivative to offset a pre-existing exposure. An exporter expecting dollar receipts may sell dollars forward, accepting basis and timing risk in exchange for more predictable rupee cash flow. Speculation creates or enlarges exposure: a trader buying index options without an offsetting portfolio seeks profit from price movement. Arbitrage combines offsetting positions to exploit inconsistent prices across related claims.

The contract name does not reveal purpose. A future can hedge inventory or create a leveraged directional bet. Position size, maturity and underlying match determine whether total risk falls. Over-hedging can reverse exposure, while funding costs and execution delays make arbitrage imperfect.

Regulation should therefore support genuine risk transfer through transparent prices, margins and reporting while controlling leverage, manipulation and unsuitable retail participation. Derivatives are neither inherently protective nor inherently harmful; their economic effect follows the exposure they create after considering the user's original position.

M3 - 15 marks - 250 words

Question: Compare forwards, futures, options and swaps as instruments of risk transfer.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (226 native-body words):

Forwards and futures create symmetric obligations to transact later at an agreed price. A forward is customised and usually over the counter, providing a close hedge match but leaving bilateral valuation, documentation and counterparty exposure. A future is standardised, exchange-traded and centrally cleared. Daily mark-to-market and margin reduce accumulated counterparty risk but create immediate liquidity demands.

Options create asymmetric rights. A call buyer may buy and a put buyer may sell at the strike; either can allow the option to expire. The buyer pays a premium and, for a simple long option held to expiry, limits contractual loss to that premium. The writer receives premium but bears the contingent obligation and may face large margin calls. Strike, premium, time and volatility shape payoff.

Swaps exchange cash-flow streams, such as fixed for floating interest or specified currency-linked flows. The reference notional may calculate payments without being exchanged. Swaps can transform balance-sheet exposure without refinancing the original liability, but basis and counterparty risks remain.

All four can hedge or speculate. Exchange standardisation supports liquidity and transparent risk management; OTC customisation can reduce basis risk. SEBI governs exchange-traded securities derivatives, while RBI governs specified OTC rate and currency derivatives. Sound regulation therefore combines reporting, collateral, position controls, central clearing where appropriate and suitability. The test is not product complexity alone but whether residual exposure and liquidity demands are understood.

M4 - 15 marks - 250 words

Question: Evaluate the investor-protection architecture of mutual funds in India.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (212 native-body words):

A mutual fund separates functions across a trust, asset management company, trustees and custodian. Investors hold units representing a proportionate claim on scheme net assets; they do not directly own each security. This architecture limits commingling and assigns portfolio management, oversight and custody to different entities.

SEBI's Mutual Funds Regulations dated 16 January 2026, effective 1 April 2026, and Master Circular dated 20 March 2026 provide the current framework. Scheme Information Documents, Key Information Memorandums, portfolio and expense disclosures, valuation rules and the Riskometer support informed choice. Direct and regular plans disclose distribution-cost differences. The Riskometer's six levels communicate portfolio risk but neither predict return nor cap loss.

Liquidity safeguards matter because open-ended redemption can conflict with illiquid assets. Stress testing, borrowing limits, fair valuation and segregated portfolios after specified credit events help allocate losses equitably. Trustees oversee compliance, while custodians safeguard assets. SCORES 2.0 adds automated grievance routing, escalation and review.

Limits remain. Disclosure can overwhelm investors, credit ratings can change late, NAV can lag executable prices in stress and side pockets isolate rather than erase loss. Distributor incentives can create mis-selling. Protection must therefore combine understandable labels, cost transparency, liquidity management, independent oversight, suitability and prompt remedy. Regulation should enable diversified household participation without implying guaranteed capital or performance.

M5 - 20 marks - 250 words

Question: Compare mutual funds, ETFs, REITs, InvITs, AIFs, PMS and NPS as investment vehicles.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (227 native-body words):

These vehicles differ in pooling, asset mandate, liquidity, ownership record and regulatory purpose. A mutual fund pools investors into scheme units at net asset value. Open-ended units transact with the fund under applicable NAV rules; an exchange-traded fund trades intraday and can deviate from NAV despite creation-redemption mechanisms. Active and passive describe management style, not liquidity form.

REITs and InvITs are SEBI-regulated trust vehicles linked respectively to real-estate and infrastructure cash flows, often through special-purpose vehicles. Their distributions and prices remain exposed to occupancy, tariffs, project operation, leverage and valuation. An AIF is a privately pooled vehicle: Category I includes specified venture or developmental strategies, Category II is the residual private-fund category and Category III may use complex or leveraged strategies. PMS instead manages a client-specific portfolio and reporting relationship.

NPS is a PFRDA-regulated defined-contribution pension architecture. NPS Trust, pension funds, the Central Recordkeeping Agency, Points of Presence and custodian perform separate functions. It is designed for retirement accumulation rather than ordinary mutual-fund liquidity.

SEBI's 2025-2026 master circulars govern the domestic fund and trust vehicles; PFRDA governs NPS; IFSCA governs fund management within an International Financial Services Centre. No wrapper guarantees return. A sound comparison must ask who owns the assets, who can redeem, how price is formed, what leverage is permitted, which disclosures apply and whether the product matches the investor's horizon and capacity for loss.

M6 - 20 marks - 250 words

Question: Securities-market innovation improves allocation but can amplify systemic and household risk. Critically examine.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (213 native-body words):

Innovation expands financing and risk-sharing. Convertible and green bonds tailor issuer obligations; exchange-traded funds lower diversification costs; REITs and InvITs open access to operating assets; derivatives let firms hedge rates, currencies and prices. Dematerialisation, electronic trading and shorter settlement improve transfer and reduce some operational exposure.

The same features create new fragilities. Derivative leverage permits large notional exposure against limited capital. Adverse moves generate margin calls and forced sales. Open-ended funds can promise redemption against less-liquid holdings, creating a sale-price-redemption spiral. Passive products can concentrate flows in common index constituents, while ETF market prices can detach from NAV during stress. Complex labels, social-media promotion and unregistered advice magnify household mis-selling.

India's regulatory response is functional. SEBI's October 2024 and 2025 equity-derivative measures strengthened premium collection, monitoring and stability controls. Its 2026 mutual-fund framework combines disclosure, Riskometer, custody and liquidity tools. RBI's 2024-2025 OTC derivative margin directions address bilateral exposure. PFRDA and IFSCA govern pension and IFSC domains.

Yet compliance cannot guarantee suitability or market liquidity. Regulation should align margin with risk, monitor common leverage and concentration, stress-test funds and clearing corporations, enforce insider-trading and PFUTP rules, disclose costs and payoff asymmetry, and provide effective grievance review. Innovation is welfare-enhancing only when legal title, transparent valuation, loss-bearing capacity and resilient exit arrangements develop together.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

1. Credit-spread decomposition

A corporate yield can be read as benchmark sovereign yield plus compensation for expected default loss, liquidity, risk aversion and instrument-specific features. A widening spread can therefore reflect credit deterioration, market illiquidity or both. Rating migration is evidence, not the whole explanation.

2. Convexity and option-adjusted behaviour

Convexity refines duration for larger yield moves. Callable bonds can display negative convexity near the call region because price appreciation is capped when refinancing becomes attractive to the issuer. Puttable and convertible structures alter sensitivity differently. UPSC requires intuition, not pricing code.

3. Option-value drivers

Option value responds to spot, strike, time, volatility, interest rates and expected distributions. Delta describes local underlying sensitivity, gamma the change in delta, theta time decay and vega volatility sensitivity. These are risk coordinates, not guaranteed forecasts.

4. Beta and factor limits

Beta measures historical co-movement of a security with a chosen market benchmark. Beta above one indicates greater measured market sensitivity, not guaranteed higher return. The estimate changes with benchmark, frequency and period and omits liquidity, tail and company-specific governance risk.

5. Participatory Notes

Participatory Notes are offshore derivative instruments issued by registered Foreign Portfolio Investors to eligible overseas investors, providing economic exposure to Indian securities. They are not direct domestic ownership. Beneficial-owner, know-your-client and reporting controls matter; exact eligibility must follow the current foreign-portfolio framework.

6. Index concentration and passive-flow feedback

Passive funds reduce selection cost but follow index rules. Large common flows can concentrate demand in high-weight constituents, while rebalancing can create predictable trades. SEBI's Index Providers Regulations, 2024, and the significant-index circular of May 2026 strengthen benchmark governance.

7. Real-world asset tokenisation

Tokenisation creates a digital representation of a claim on an underlying asset. Fractional access and programmable transfer do not settle questions of legal title, custody, valuation, redemption, insolvency priority or regulator. This is the safe route for the provisional 2026 PYQ.

8. Liquidity-management tools

Fund liquidity management can include cash buffers, borrowing within rules, fair valuation, stress testing, redemption controls where legally permitted and segregated portfolios after credit events. Each reallocates liquidity cost; none manufactures liquidity in the underlying market.

COMPLETE ASCII MASTER FLOWCHART

The following source is exported independently as TXT/PDF and also drives the graphical revision map.

PANEL 1/12 - CLAIM WATERFALL	
Debt = contractual creditor claim; equity = residual ownership claim.	
Secured/senior debt -> subordinated debt -> preference -> ordinary equity.	
Priority reduces relative exposure but never guarantees full recovery.	
Answer first: claim, cash flow, priority, maturity, optionality.	
PANEL 2/12 - BOND ANATOMY	
Face value -> coupon -> maturity -> redemption.	
Market price changes after issue; coupon rate does not.	
Covenants, security and seniority condition recovery.	
Coupon != current yield != yield to maturity.	
PANEL 3/12 - PRICE, DURATION, RISK	
required yield up -> fixed-cash-flow present value down -> price down.	
Duration approximates sensitivity; convexity refines the curve.	
Risks: credit rate reinvestment liquidity inflation currency.	
Fixed income does not mean fixed realised return.	
PANEL 4/12 - SPECIAL BONDS	
Zero coupon: discount + redemption Floating: benchmark reset.	
Inflation-indexed: stated cash flow linked to index.	
Callable: issuer option Puttable: investor option Convertible: equity path.	
Masala: overseas INR debt Green: disclosed environmental proceeds.	
PANEL 5/12 - EQUITY AND RATIOS	
Equity: ownership + residual return + governance rights.	
Market cap = price x shares EPS = profit / weighted shares.	
P-E, P-B and dividend yield are lenses, not verdicts.	
Preference share has priority over ordinary equity but remains share capital.	
PANEL 6/12 - DERIVATIVE FAMILY	
Forward/future: symmetric obligations Option: buyer right, writer duty.	
Swap: exchange specified cash-flow streams.	
Notional reference exposure can exceed cash initially posted.	
Underlying + payoff + purpose + settlement = complete classification.	
PANEL 7/12 - OPTION PAYOFF	
Long call = $\max(\text{spot} - \text{strike}, 0)$ - premium.	
Long put = $\max(\text{strike} - \text{spot}, 0)$ - premium.	
Buyer can allow expiry; writer must perform if validly exercised.	
Premium affects break-even; strike alone is not profit.	
PANEL 8/12 - PURPOSE AND MARGIN	
Existing exposure + offset = hedge naked direction = speculation.	
Price inconsistency + offsetting trades = arbitrage.	
Initial margin -> daily MTM -> variation margin -> possible forced sale.	
Margin controls default exposure but can transmit liquidity stress.	
PANEL 9/12 - FUND ARCHITECTURE	
Investor -> units -> trust; AMC manages, trustee oversees, custodian holds.	
NAV = net scheme assets / units outstanding.	
Open/closed, active/passive, asset class and trading form are separate axes.	
ETF trades on exchange and can deviate from NAV.	
PANEL 10/12 - FUND SAFEGUARDS	
Direct vs regular = distribution-cost route, not different scheme mandate.	

Riskometer has six levels; it does not predict return.	
Disclosure + valuation + custody + liquidity tools + SCORES remedy.	
SEBI MF Regulations effective 1 Apr 2026; Master Circular 20 Mar 2026.	
+-----+	+-----+
PANEL 11/12 - VEHICLES AND REGULATORS	
+-----+	+-----+
REIT real estate InvIT infrastructure AIF private pool PMS client-specific.	
NPS: PFRDA + Trust + pension fund + CRA + PoP + custodian.	
SEBI domestic securities RBI specified OTC rate/FX IFSCA IFSC.	
Wrapper classification must precede return, tax or suitability claims.	
+-----+	+-----+
PANEL 12/12 - CONDUCT AND SYSTEMIC RISK	
+-----+	+-----+
UPSI misuse != manipulation != mis-selling; each has a distinct control.	
Leverage/mismatch -> margin/redemption -> forced sale -> lower price -> contagion.	
Verdict: access + truthful disclosure + suitability + resilient settlement.	
Topic 7 = plumbing; Topic 8 = product payoff and portfolio risk.	
+-----+	+-----+

CONSOLIDATED REGISTER NOTES

A. Claim and product map

DIRECT CLAIMS

DEBT -> contractual coupon/principal -> creditor priority
EQUITY -> ownership/dividend/capital gain -> residual priority
HYBRID -> debt and equity features under contract

DERIVATIVES

FORWARD/FUTURE -> symmetric obligation
OPTION -> buyer right / writer obligation
SWAP -> exchange of cash-flow streams

POOLED / MANAGED VEHICLES

MUTUAL FUND / ETF | REIT / InvIT | AIF | PMS | NPS

B. Bond anatomy and risks

Term	Meaning	Trap
Face value	Contractual reference principal	Not current market price
Coupon rate	Annual coupon divided by face value	Not current yield
Current yield	Annual coupon divided by market price	Omits redemption and reinvestment
YTM	Discount rate equating price to promised cash flows through maturity	Assumes contractual payment and reinvestment conventions
Maturity	Contractual repayment date	Not duration
Duration	Weighted cash-flow timing / price sensitivity	Not default probability
Convexity	Curvature correction beyond linear duration	Most relevant for larger moves
Credit spread	Yield compensation above benchmark	Can contain default, liquidity and risk premia

Risk matrix: default/credit, interest-rate, duration, reinvestment, liquidity, inflation, currency, event, call and settlement risks must be tested separately.

C. Special bond types

Type	Cash-flow design	Principal risk lesson
Zero-coupon	No periodic coupon; discount issue and redemption payment	High duration for maturity
Floating-rate	Coupon resets to benchmark plus spread	Reset/basis and credit risk remain
Inflation-indexed	Specified principal/coupon linked to inflation index	Index lag, tax and liquidity remain
Callable	Issuer may redeem under stated terms	Caps upside; creates reinvestment risk
Puttable	Investor may demand redemption under terms	Investor option has value
Convertible	Debt may convert into equity	Conversion, dilution and credit must be separated
Masala	Rupee-denominated debt issued overseas	Overseas investor bears direct INR movement
Green debt security	Proceeds committed to eligible environmental purposes	Label does not guarantee credit quality

Green-debt date: SEBI disclosure and anti-greenwashing circulars dated 6 February 2023. **Masala caution:** current ECB eligibility, maturity, cost and end-use conditions must be checked at the transaction date; old numerical thresholds are not frozen here.

D. Equity and valuation

- Equity is ownership with residual return and governance rights subject to share class.
- Market capitalisation = market price per share x shares outstanding.
- EPS = profit attributable to ordinary equity / weighted-average ordinary shares.
- P-E = price / EPS; weak with negative or cyclically distorted earnings.
- P-B = price / book value per share; context matters for intangible-heavy firms.
- Dividend yield = dividend per share / market price; a falling price can raise the ratio.
- Preference shares have preferential dividend/capital rights over ordinary equity but remain share capital.
- Beta measures relative market co-movement, not guaranteed return or total risk.

E. Derivative payoff sheet

Contract	Rights and obligations	Risk-control distinction
Forward	Both parties obligated; customised OTC	Bilateral/cleared counterparty risk
Future	Both parties obligated; standardised and exchange-traded	Initial margin and daily MTM
Call	Buyer right to buy at strike	Long-call loss normally limited to premium
Put	Buyer right to sell at strike	Long-put loss normally limited to premium
Writer	Contingent obligation if exercised	Can face large loss and margin calls
Swap	Exchange fixed/floating or currency-linked streams	Notional may not be exchanged

LONG CALL: $\max(\text{spot} - \text{strike}, 0) - \text{premium}$
LONG PUT : $\max(\text{strike} - \text{spot}, 0) - \text{premium}$

HEDGE = offsets existing exposure
SPECULATION = creates/enlarges exposure
ARBITRAGE = offsetting trades exploit inconsistent prices

F. Margin and systemic channel

large notional / illiquid asset

price shock -> variation margin / redemption

forced sale -> lower price -> higher haircut

more margin calls / withdrawals -> contagion

- Initial margin covers potential future exposure.
- Variation margin settles current mark-to-market change.
- CCP novation reduces bilateral exposure but concentrates infrastructure dependence.
- RBI Margin for Derivative Contracts Directions: 8 May 2024.
- RBI non-centrally cleared OTC margin directions: updated 21 February 2025.
- SEBI equity-index derivative strengthening circular: 1 October 2024; monitoring updates in 2025.

G. Mutual funds

Axis	Categories	Meaning
Redemption	Open-ended / closed-ended	Fund redemption versus fixed term/listing
Management	Active / passive	Selection discretion versus benchmark tracking
Trading	Ordinary fund / ETF	Applicable NAV transaction versus exchange price
Asset	Equity / debt / hybrid / other	Underlying exposure
Distribution	Direct / regular	Without versus with distributor commission in plan expenses

NAV = (scheme assets - liabilities) / units outstanding.

- Mutual Funds Regulations dated 16 January 2026 took effect on 1 April 2026.
- SEBI Master Circular dated 20 March 2026 consolidates the current framework.
- Riskometer has six levels: Low, Low to Moderate, Moderate, Moderately High, High and Very High.
- SEBI's 5 November 2024 circular strengthened disclosure of expenses, returns, yield and Riskometer.
- Direct and regular plans share the scheme mandate but differ in distribution expenses and therefore NAV.
- TER means Total Expense Ratio; current caps vary by scheme/framework and are not frozen here.
- Trustee oversight, custodian separation, fair valuation, liquidity controls, segregated portfolios and

SCORES 2.0 are different safeguards.

H. Vehicle comparison

Vehicle	Legal/economic form	Main regulator / boundary
Mutual fund	Public pooled scheme units	SEBI
ETF	Exchange-traded pooled unit	SEBI; price can differ from NAV
REIT	Trust exposure to real-estate cash flows	SEBI; Master Circular 11 Jul 2025
InvIT	Trust exposure to infrastructure cash flows	SEBI; Master Circular 11 Jul 2025
AIF	Privately pooled category-based vehicle	SEBI; Master Circular 3 Jun 2026
PMS	Client-specific portfolio management	SEBI; Master Circular 16 Jul 2025
NPS	Defined-contribution pension architecture	PFRDA
IFSC fund	Fund-management vehicle in an International Financial Services Centre	IFSCA; 2025 Regulations

AIF categories: Category I includes specified venture/developmental strategies; Category II is the residual private-fund category and ordinarily avoids leverage beyond permitted temporary needs; Category III may use complex or leveraged strategies. Direct bonds and stocks are not AIFs.

I. NPS architecture

- **PFRDA:** Pension Fund Regulatory and Development Authority, regulator.
- **NPS Trust:** subscriber-interest oversight.
- **Pension fund:** invests contributions under the mandate.
- **CRA:** Central Recordkeeping Agency, maintains subscriber records.
- **PoP:** Point of Presence, subscriber-service interface.
- **Custodian:** holds securities.
- Defined contribution does not mean an assured pension.

J. Regulatory perimeter

- **SEBI:** domestic listed securities, equity/commodity securities derivatives, mutual funds, AIFs, REITs, InvITs, PMS, intermediaries, disclosure and conduct.
- **RBI:** Government securities and specified OTC interest-rate/foreign-exchange derivative markets.
- **PFRDA:** NPS and pension intermediaries.
- **IFSCA:** unified regulator for financial products, services and institutions in IFSCs.
- **AMFI:** Association of Mutual Funds in India, industry body; it is not the statutory regulator.
- **SCORES:** SEBI Complaints Redress System; version 2.0 announced 1 April 2024.
- **Topic 7 settlement cross-link:** T+1 is the standard equity cash cycle after the January 2023 transition; optional T+0 was introduced 28 March 2024 and expanded 10 December 2024.
- **Depositories Act section 10:** the depository is registered owner for transfer, while the investor remains beneficial owner with substantive rights and liabilities.

K. Market conduct

- **UPSI:** Unpublished Price Sensitive Information.
- **PIT Regulations:** SEBI Prohibition of Insider Trading Regulations, amended through 12 March 2025.
- **PFUTP Regulations:** SEBI Prohibition of Fraudulent and Unfair Trade Practices Regulations, amended through 5 December 2025.
- Insider trading, manipulation, front running, false disclosure, conflicts and unregistered advice are distinct conduct problems.
- Registration permits regulated activity; it does not endorse performance.
- Disclosure informs; suitability matches product to investor; grievance review addresses service or conduct.

L. Prelims traps

1. Fixed income is not fixed market value.
2. Coupon, current yield and YTM differ.
3. Duration is not maturity or default probability.
4. Credit rating is not insurance or advice.
5. Floating-rate debt retains basis and credit risk.
6. Callable benefits issuer; puttable benefits investor.
7. Green label does not guarantee repayment.
8. Equity dividend is not contractual.
9. Low P-E does not prove undervaluation.

10. A future margin is not its purchase price.
11. A long-option buyer and writer have different loss profiles.
12. OTC does not mean unregulated.
13. Hedge status requires a pre-existing exposure.
14. ETF market price can differ from NAV.
15. Direct plan does not mean direct security ownership.
16. Diversification does not eliminate market or liquidity risk.
17. REIT, InvIT, AIF, PMS and NPS are not interchangeable.
18. IFSCA jurisdiction depends on IFSC location/activity.

M. Mains answer spine

Define claim/vehicle -> show cash flow/payoff -> name dated regulator/framework -> explain allocation benefit -> trace household/systemic risk -> qualify with suitability and liquidity -> conclude with transparent, resilient and informed participation.

N. Topic boundary

Topic 8 owns product mechanics, valuation basics, derivatives, pooled vehicles and investment risk. Topic 7 owns primary/secondary architecture, exchanges, clearing, depositories and settlement; they appear here only as necessary cross-links. Topic 9 owns fiscal policy and government borrowing strategy.